

**UNITED STATES BANKRUPTCY COURT  
SOUTHERN DISTRICT OF NEW YORK**

|                              |   |                         |
|------------------------------|---|-------------------------|
| -----                        | X |                         |
|                              | : |                         |
| In re:                       | : | Chapter 11              |
|                              | : |                         |
| ENRON CORP., <i>et al.</i> , | : | Case No. 01-16034 (AJG) |
|                              | : |                         |
| Debtors.                     | : | Jointly Administered    |
|                              | : |                         |
| -----                        | X |                         |

**APPENDIX G**

**(Role of Toronto Dominion and its Affiliates)**

**to**

**FINAL REPORT OF NEAL BATSON,  
COURT-APPOINTED EXAMINER**

Reference is made to the preceding Final Report of Neal Batson, Court-Appointed Examiner (the "Report"). This Appendix constitutes an integral part of the Report. All capitalized terms not otherwise defined herein shall have the meanings set forth in the Report.

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## **I. INTRODUCTION**

### **A. Introduction and Overview**

In Appendix C (Role of Enron's Officers) to the Third Interim Report, the Examiner concluded that there is sufficient evidence for a fact-finder to determine that certain of the Debtors' officers breached their fiduciary duties under applicable law by causing the Debtors to enter into certain SPE and related transactions that were designed to manipulate the Debtors' financial statements and that resulted in the dissemination of financial information known to be materially misleading. These wrongful acts caused direct and foreseeable harm to Enron itself and resulted in harm to innocent parties that dealt with Enron, including certain creditors in the Bankruptcy Case.

This Appendix considers the role of Toronto Dominion Bank ("Toronto Dominion") in the Debtors' SPE and related transactions. Toronto Dominion helped Enron implement a number of such transactions. These include six Prepay Transactions, three of which the Examiner analyzed in the Third Interim Report<sup>1</sup> (these six Prepay Transactions are referred to collectively as the "Toronto Dominion Prepays"). In Appendix C (Role of Enron's Officers) to the Third Interim Report, the Examiner concluded that there is sufficient evidence for a fact-finder to determine that certain of the Debtors' officers breached their fiduciary duties by causing Enron to enter into the Prepay Transactions.

In this Appendix, the Examiner discusses evidence indicating that: (i) Toronto Dominion had actual knowledge of the wrongful conduct giving rise to breaches of fiduciary duty by the Debtors' officers; (ii) Toronto Dominion gave substantial assistance

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<sup>1</sup> See Third Interim Report, Appendix D (Role of Citigroup and its Affiliates).

to the Debtors' officers by participating in the Toronto Dominion Prepays; and (iii) injury to the Debtors was the direct or reasonably foreseeable result of this conduct. The evidence reviewed by the Examiner, and the reasonable inferences that may be drawn from that evidence, are sufficient for a fact-finder to conclude<sup>2</sup> that Toronto Dominion aided and abetted such officers in breaching their fiduciary duties. In addition, there is sufficient evidence of inequitable conduct by Toronto Dominion in connection with the Toronto Dominion Prepays for a court to conclude that Toronto Dominion's claims should be equitably subordinated to the claims of other creditors.

As set forth more fully below, Toronto Dominion's conduct in the Toronto Dominion Prepays enabled Enron to complete approximately \$2 billion of financings.<sup>3</sup> As a result of these financings, Enron improperly recorded approximately \$1.5 billion of cash flow from operating activities and understated the debt on its balance sheet by approximately \$250 million on December 31, 1998, \$500 million on June 30, 1999, \$324 million on December 31, 1999, and \$270 million on December 31, 2000.

The evidence would allow a fact-finder to conclude that Toronto Dominion assisted Enron in completing the Toronto Dominion Prepays, with gross proceeds totaling

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<sup>2</sup> See Report, *Standard Adopted by the Examiner*.

<sup>3</sup> The proceeds of one of the Toronto Dominion Prepays appears to have been used to repay an outstanding Toronto Dominion Prepay that was maturing. The \$675 million Jethro Prepay Transaction refinanced and extended the \$500 million Truman Prepay Transaction. See Toronto Dominion Corporate Credit Review for Enron, Firefly Trust and ENA, Sept. 25, 1999 (the "Sept. 25, 1999 Corporate Credit Review") [TDB-EX 000170-TDB-EX 000198]. The \$2 billion total represents the gross amount of the six Toronto Dominion Prepays. This total includes the proceeds of three prepay transactions that were either partially or completely funded by other financial institutions, including: (i) Truman, a \$500 million transaction, in which Citigroup funded \$250 million and Toronto Dominion funded \$250 million; (ii) Jethro, a \$675 million transaction, in which Citigroup funded \$337.5 million and Toronto Dominion funded \$337.5 million; and (iii) Nixon, a \$324 million transaction, in which Barclays funded \$110 million, RBS funded \$110 million and Citigroup funded \$104 million. The Examiner has included the total amounts of these transactions in the \$2.0 billion total because, as discussed below, Toronto Dominion played roles in each transaction that facilitated Enron's ability to obtain the full amount of each transaction, and Enron considered each transaction to be a single transaction. See Enron Corp. Chief Financial Officer Report, Aug. 13, 2001 (the "August 2001 Fastow Report"), at 2-12 [AB0247 02299-AB0247 02310].

approximately \$2 billion, even though Toronto Dominion knew that Enron's accounting for these transactions, with no other meaningful related disclosure, would result in the misleading presentation of Enron's financial condition.

The Examiner has reviewed a substantial amount of evidence, including documentary and testimonial evidence, and has noted reasonable inferences that could be drawn from the evidence. A fact-finder may draw alternative or contrary inferences from the same evidence. Moreover, there are certain defenses to aiding and abetting liability and equitable subordination available to Toronto Dominion. Whether Toronto Dominion will succeed on one or more defenses will depend upon the fact-finder's resolution of the facts.

The elements most likely to present issues of material fact for consideration by the fact-finder are:

- The degree of Toronto Dominion's *knowledge* of the acts giving rise to the breaches of fiduciary duty. In particular, whether Toronto Dominion knew that Enron's reporting of the Toronto Dominion Prepays would result in the materially misleading presentation of Enron's financial condition because the transactions were disclosed in a manner that disguised their economic substance so as to mislead Rating Agencies, creditors and investors. As part of this determination, the fact-finder may consider, among other things: (i) Toronto Dominion's knowledge that the economic substance of these transactions was inconsistent with the disclosure; and (ii) whether there was any reliance on accounting representations from Enron or from Andersen through Enron, and if so, whether this reliance was reasonable.
- The degree of *assistance* provided by Toronto Dominion to Enron's officers. As part of this determination, the fact-finder may consider whether Toronto Dominion designed the transaction, structured the transaction, consummated the transaction or took any action that assisted Enron in the misleading presentation of its financial condition.

- Whether it would have been *reasonably foreseeable* to Toronto Dominion that these transactions would cause injury to Enron and/or its creditors. As part of this analysis, a fact-finder may consider whether the transaction had a material impact on Enron's financial statements.

Toronto Dominion's claims in the Bankruptcy Case, which total approximately \$57.8 million,<sup>4</sup> are susceptible of being equitably subordinated to the claims of other creditors. This would be in addition to any affirmative recovery that would be available to the Debtors against Toronto Dominion for aiding and abetting the Debtors' officers in breaches of fiduciary duty, assuming the Debtors have standing to pursue such a claim.

#### **B. Toronto Dominion's Role in Enron's SPE and Related Transactions**

Toronto Dominion played an important role in Enron's Prepay Transactions, participating in six Prepay Transactions from December of 1998 through December of 2000 that generated total proceeds of approximately \$2 billion. In five of the six Toronto Dominion Prepays, Toronto Dominion loaned funds to Enron. These loans totaled over \$1.1 billion, although some of the funds appear to have been immediately returned to Toronto Dominion to repay existing Prepay Transactions. In each of the six Toronto Dominion Prepays, a financial institution served as the conduit entity that Enron believed was necessary to accomplish its accounting objectives.<sup>5</sup> In one Prepay Transaction,

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<sup>4</sup> The Examiner has reviewed: (i) the proofs of claim filed by Toronto Dominion against the Debtors; (ii) Toronto Dominion's responses to the Examiner's request for information about its relationship with Enron; and (iii) information provided by Enron itself. Based on that information, it appears that Toronto Dominion's claims against the Debtors total approximately \$57.8 million.

<sup>5</sup> In its Administrative Proceeding against Citigroup, the SEC indicated that it sees no distinction between the Prepays entered into by Citigroup that involved an SPE as the conduit entity and those in which another financial institution served as the conduit entity. *See In re Citigroup, Inc.*, Order Instituting a Public Administrative Proceeding Pursuant to Section 21C of the Securities Exchange Commission Act of 1934, Making Findings and Imposing a Cease-And-Desist Order and Other Relief, July 28, 2003 (the "Citigroup Administrative Proceeding"), at 7-8, n.20. In fact, the SEC criticized three of the Prepay Transactions in which Toronto Dominion participated. *See Citigroup Administrative Proceeding*, at 7-8, n.20. The SEC standard is a "should have known" standard, however, which is less stringent than the "actual knowledge" standard analyzed in this Report. Also, Toronto Dominion was not named as a party to the proceeding and no allegations were asserted against it.

Toronto Dominion functioned solely as the conduit entity.<sup>6</sup> In two of the Toronto Dominion Prepays, Citigroup was the conduit entity,<sup>7</sup> and Toronto Dominion reciprocated by serving as the conduit in mirror Prepay Transactions where Citigroup was the lender.<sup>8</sup> In two other Prepay Transactions, JPMorgan Chase served as the conduit entity.<sup>9</sup> Morgan Stanley served as the conduit entity in the final Toronto Dominion Prepay Transaction.<sup>10</sup>

Toronto Dominion played a lesser role in four SPE transactions with Enron. Toronto Dominion participated in transactions with Hawaii, JEDI, Firefly Trust and Bammel Gas Trust. In these transactions, Toronto Dominion provided commitments to credit facilities, term loans, or liquidity backstops ranging from \$15 million to \$50 million. In the Hawaii transaction, a FAS 140 Transaction led by CIBC, Toronto Dominion funded \$50 million (\$15 million in Hawaii I and \$35 million in Hawaii II).<sup>11</sup>

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<sup>6</sup> Toronto Dominion Corporate Credit Review for Enron, Firefly Trust and ENA, Toronto Dominion, Dec. 10, 1999 (the "Dec. 10, 1999 Corporate Credit Review"), at 20 [TDB-EX 002319-TDB-EX 002345]. This Prepay Transaction, called Nixon, was among those criticized by the SEC in its Administrative Proceeding against Citigroup. *See* Citigroup Administrative Proceeding, at 7-8, n.20.

<sup>7</sup> *See* Email from Doug Jones, Toronto Dominion, to Dan Carr, Toronto Dominion, June 24, 1999, at attachment (the "Gas Swap Diagram") [TDB-EX 000002-TDB-EX 000003]; Diagram entitled, "Crude Prepay 9/29/99," Enron, date unknown (the "Crude Prepay Diagram") [TDB-EX 000252]. These Prepay Transactions, Truman and Jethro, were also criticized by the SEC in the Citigroup Administrative Proceeding. *See* Citigroup Administrative Proceeding, at 7-8, n.20.

<sup>8</sup> *See* Sworn Statement of Douglas Jones, Vice President, TD Securities, to Robb E. Hellwig, A&B, Oct. 9, 2003 (the "Jones Sworn Statement, Vol. II"), at 163-64; *see also* Gas Swap Diagram; Crude Prepay Diagram.

<sup>9</sup> Sworn Statement of Douglas Jones, Vice President, TD Securities, to Steven M. Collins, A&B, Sept. 17, 2003 (the "Jones Sworn Statement, Vol. I"), at 41; Toronto Dominion Rapid Review for Enron, ENA and Enron Canada Corp., Sept. 27, 2000 (the "Sept. 27, 2000 Rapid Review"), at 5 [TDB-EX(1) 019957-TDB-EX(1) 019977].

<sup>10</sup> Toronto Dominion Corporate Credit Review for ENA and Enron, Nov. 24, 2000 (the "Nov. 24, 2000 Corporate Credit Review"), at TDB-EX 001516-TDB-EX 001517 [TDB-EX 001509-TDB-EX 001529].

<sup>11</sup> *See* Toronto Dominion's Responses and Objections to Matters on Which Examination is Requested, Aug. 22, 2003 (the "Toronto Dominion Aug. 22, 2003 Responses"), at 2-5; Toronto Dominion Corporate Credit Review for Enron, Enron Canada Corp., Hawaii I 125-0 Trust and Hawaii II 125-0 Trust, Nov. 8, 2000 (the "Nov. 8, 2000 Hawaii Corporate Credit Review") [TDB-EX(1) 000054-TDB-EX(1) 000090].

In the Bammel Gas transaction, which was led by Bank of America, Toronto Dominion had a \$20 million participation in a \$229 million inventory securitization backstop liquidation facility.<sup>12</sup> In the JEDI transaction, Toronto Dominion funded \$30 million of a \$513 million 364-day term loan to the JEDI SPE.<sup>13</sup> Finally, in the Firefly transaction, Toronto Dominion funded \$50 million of a \$425 million senior secured credit facility that was led by JPMorgan, BT/Duetsche and DLJ.<sup>14</sup> The Examiner has not found any evidence indicating that Toronto Dominion played a lead role in the structuring or execution of any of these SPE transactions.

### **C. Background Information**

Toronto Dominion is Canada's third largest financial institution, providing consumer, corporate and government banking services, investment services and financial advisory services to businesses.<sup>15</sup> Toronto Dominion and its subsidiaries are collectively known as the TD Bank Financial Group.<sup>16</sup> Toronto Dominion serves more than 13 million customers in three key areas: (i) personal and commercial banking; (ii) wealth management; and (iii) wholesale banking services, which include corporate banking, investment banking, debt capital markets, institutional equities, foreign exchange and

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<sup>12</sup> Toronto Dominion Aug. 22, 2003 Responses, at 6-8; Toronto Dominion Corporate Credit Review for Bammel Gas Trust, Nov. 8, 1999, at 5 [TDB-EX(1) 021635-TDB-EX(1) 021646].

<sup>13</sup> Toronto Dominion Aug. 22, 2003 Responses, at 9-11; Toronto Dominion Corporate Credit Review for JEDI SPV I L.L.C., Dec. 17, 1999 [TDB-EX(1) 015005-TDB-EX(1) 015017]

<sup>14</sup> Toronto Dominion Aug. 22, 2003 Responses, at 12-13; Toronto Dominion USA Division Credit Review, Dec. 15, 1998 (the "Dec. 15, 1998 Credit Review") [TDB-EX(1) 020257-TDB-EX(1) 020273].

<sup>15</sup> Hoover's Online Fact Sheet for The Toronto Dominion Bank, *available at* <http://www.hoovers.com/free/co/factsheet.xhtml?ID=42383> (last visited Oct. 27, 2003); Toronto Dominion Annual Report 2002, at 13.

<sup>16</sup> Annual Information Form for the Toronto Dominion Bank, Jan. 24, 2003 (the "Annual Information Form"), at 1, *available at* <http://www.td.com/investor/2002/2002aif.pdf>.

private equity.<sup>17</sup> In 2002, Toronto Dominion had assets of \$278 billion.<sup>18</sup> Toronto Dominion had a net loss of \$160 million in 2002, as compared to net income of \$1.3 billion in 2001.<sup>19</sup>

Toronto Dominion provides financial services and products to its corporate customers through TD Securities.<sup>20</sup> TD Securities encompasses a number of business units, including the Energy Group, the business unit that had the primary relationship with Enron.<sup>21</sup> The Toronto Dominion activities involving Enron that are the subject of this Appendix appear to have occurred within the TD Securities business unit.

Toronto Dominion appears to structure its operations around business segments rather than legal entities.<sup>22</sup> Units such as TD Securities design the products, sell them, and use various legal entities within Toronto Dominion to participate in and book the transactions. For example, Toronto Dominion used a subsidiary, Toronto Dominion (Texas), Inc., to enter into many of the Toronto Dominion Prepays. According to the testimony, Toronto Dominion (Texas), Inc. was the entity of choice used by Toronto Dominion to enter into transactions in which it had agreed to participate.<sup>23</sup> In this Appendix, the Examiner uses the term "Toronto Dominion" to refer to the institution as a

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<sup>17</sup> *Id.*; see also Toronto Dominion Annual Report 2002, at 14.

<sup>18</sup> Toronto Dominion Annual Report 2002, at 44.

<sup>19</sup> *Id.* at 45.

<sup>20</sup> *Id.* at 13, 18.

<sup>21</sup> See Toronto Dominion's Responses and Objections to Matters on Which Examination is Requested, Aug. 6, 2003 (the "Toronto Dominion Aug. 6, 2003 Responses"), at 1-19; Sworn Statement of Thomas Richmond Spencer, Vice Chair and Chief Risk Officer, Toronto Dominion, to Robb E. Hellwig, A&B, Oct. 2, 2003 (the "Spencer Sworn Statement"), at 16, 28.

<sup>22</sup> Toronto Dominion Annual Report 2002, at 13.

<sup>23</sup> Sworn Statement of Julian Mark Bott, former Managing Director, Toronto Dominion, to Robb E. Hellwig, A&B, Oct. 8, 2003 (the "Bott Sworn Statement"), at 57. TD Securities had the ability to cause Toronto Dominion (Texas), Inc. to enter into transactions agreed to by TD Securities. Bott Sworn Statement, at 57.

whole and does not identify the specific affiliate that was involved in a particular aspect of a particular transaction. Similarly, the Examiner refers to "Enron" rather than identifying the specific Enron affiliate involved, because such detail was addressed in the Second and Third Interim Reports and is not relevant to the matters discussed in this Appendix.

## II. HISTORY AND DEVELOPMENT OF TORONTO DOMINION'S INVOLVEMENT WITH ENRON

### A. Relationship Between Toronto Dominion and Enron

Toronto Dominion's relationship with Enron began in 1982.<sup>24</sup> By 1998, Toronto Dominion considered Enron an extremely important and profitable client, and Toronto Dominion was actively seeking to have Enron consider it one of Enron's Tier 1 Banks.<sup>25</sup> Although Toronto Dominion never achieved Tier 1 status, Toronto Dominion's relationship with Enron was nonetheless substantial, and Enron consistently rated Toronto Dominion as a Tier 2 bank.<sup>26</sup>

From 1997 through the Petition Date, Toronto Dominion completed approximately forty transactions with Enron. These transactions included structured finance transactions, derivatives transactions, underwritings, letters of credit and numerous credit facilities. The following timeline illustrates when each of these transactions was completed and highlights the specific transactions that are a focus of this Appendix.

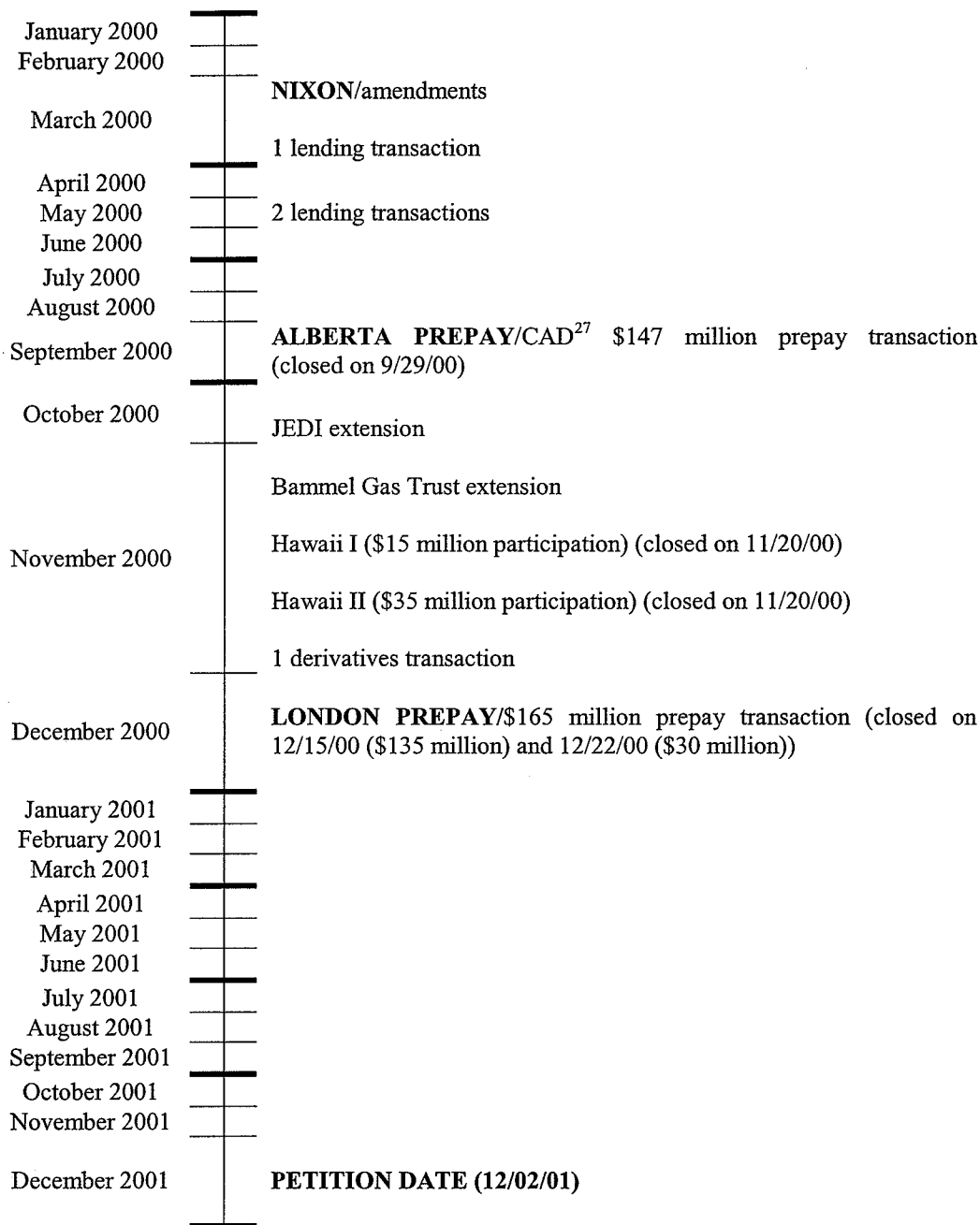
|               |       |                                             |
|---------------|-------|---------------------------------------------|
| January 1997  | _____ |                                             |
| February 1997 | _____ | 1 lending transaction                       |
| March 1997    | _____ |                                             |
| April 1997    | _____ |                                             |
| May 1997      | _____ | 1 letter of credit<br>1 lending transaction |
| June 1997     | _____ |                                             |
| July 1997     | _____ |                                             |

<sup>24</sup> Facsimile from Bob Gibson, Toronto Dominion, to Thomas Spencer, *et al.*, Toronto Dominion, Jan. 19, 2001 (the "Gibson/Spencer Fax"), at TDB-EX(1) 034610 [TDB-EX(1) 034608-TDB-EX(1) 034648]; Sworn Statement of Linda Lavin, Toronto Dominion, to Robb E. Hellwig, A&B, Sept. 25, 2003 (the "Lavin Sworn Statement"), at 71 ("[Enron] had been a client of the bank for 15-plus years.").

<sup>25</sup> Dec. 15, 1998 Credit Review, at TDB-EX(1) 020264 (Relationship Strategy); Bott Sworn Statement, at 82.

<sup>26</sup> Enron Relationship Review, Mid-Year, 1999 (the "Mid-Year, 1999 Relationship Review"), at AB0252 01560 [AB0252 01557-AB0252 01600]; Enron Relationship Review, Jan. 2000 (the "Jan. 2000 Relationship Review"), at AB0252 01612 [AB0252 01602-AB0252 01659].

|                |  |                                                                                                                  |
|----------------|--|------------------------------------------------------------------------------------------------------------------|
| August 1997    |  |                                                                                                                  |
| September 1997 |  |                                                                                                                  |
| October 1997   |  |                                                                                                                  |
| November 1997  |  |                                                                                                                  |
| December 1997  |  |                                                                                                                  |
| January 1998   |  |                                                                                                                  |
| February 1998  |  |                                                                                                                  |
| March 1998     |  |                                                                                                                  |
| April 1998     |  | Bammel Gas Trust (\$20 million) (closed on 4/21/98)<br>3 derivatives transactions<br>2 lending transactions      |
| May 1998       |  |                                                                                                                  |
| June 1998      |  |                                                                                                                  |
| July 1998      |  |                                                                                                                  |
| August 1998    |  | 2 lending transactions<br>1 derivatives transaction                                                              |
| September 1998 |  |                                                                                                                  |
| October 1998   |  | 4 lending transactions                                                                                           |
| November 1998  |  |                                                                                                                  |
|                |  | Bammel Gas Trust extension                                                                                       |
|                |  | Firefly Trust (\$50 million) (closed on 12/28/98)                                                                |
| December 1998  |  | <b>DECEMBER 1998 PREPAY</b> /\$250 million prepay transaction<br>(closed 12/30/98)<br><br>4 lending transactions |
| January 1999   |  |                                                                                                                  |
| February 1999  |  |                                                                                                                  |
| March 1999     |  |                                                                                                                  |
| April 1999     |  |                                                                                                                  |
| May 1999       |  |                                                                                                                  |
|                |  | <b>TRUMAN</b> /\$500 million prepay transaction (Toronto Dominion<br>funded \$250 million, closed 6/29/99)       |
| June 1999      |  | 1 lending transaction                                                                                            |
| July 1999      |  | 1 lending transaction                                                                                            |
| August 1999    |  |                                                                                                                  |
| September 1999 |  | <b>JETHRO</b> /\$675 million prepay transaction (Toronto Dominion funded<br>\$337.5 million, closed 9/29/99)     |
| October 1999   |  |                                                                                                                  |
| November 1999  |  | Bammel Gas Trust extension                                                                                       |
|                |  | JEDI (closed on 12/3/99)                                                                                         |
| December 1999  |  | <b>NIXON</b> /\$324 million prepay transaction (closed 12/15/99)<br><br>1 letter of credit                       |



A bold line indicates the end of a quarterly or annual reporting period.

As the timeline indicates, during the years leading up to Enron's bankruptcy, Toronto Dominion was an important source of funding for Enron, at least through 2000. During this period, Toronto Dominion participated in more than \$3 billion in financings

<sup>27</sup> "CAD" refers to Canadian dollars.

for Enron and its related entities, approximately \$2 billion of which came from the six Toronto Dominion Prepays.

Notably, Toronto Dominion does not appear to have entered into any transactions with Enron in 2001. This was likely due to the mandate from Toronto Dominion's Risk Management Group in early 2001 that Toronto Dominion reduce its exposure to Enron from a guideline of approximately \$480 million (\$685 million CAD)<sup>28</sup> to approximately \$175 million (\$250 million CAD) by October 31, 2001, Toronto Dominion's fiscal year end.<sup>29</sup> As explained more fully below, by late 2000, senior Toronto Dominion Risk Management executives had become increasingly uncomfortable with Enron's financial condition and business strategy, culminating in this exposure reduction mandate.<sup>30</sup>

As a result of the varied roles that Toronto Dominion played for Enron, it had access to substantial information about the company. As a lender and underwriter, Toronto Dominion performed due diligence with respect to all aspects of Enron's operations, and most particularly with respect to its financial condition. Many of the internal approval documents at Toronto Dominion relating to Enron transactions included lengthy financial reviews of Enron.<sup>31</sup> These reviews often included sections on market statistics, core businesses, historical financial information, capital structure (including on

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<sup>28</sup> Nov. 24, 2000 Corporate Credit Review, at TDB-EX 001511.

<sup>29</sup> Spencer Sworn Statement, at 150-51; Sworn Statement of Victor J. Huebner, Toronto Dominion, to Steven M. Collins, A&B, Oct. 10, 2003 (the "Huebner Sworn Statement"), at 108-10.

<sup>30</sup> Spencer Sworn Statement, at 128-29; Huebner Sworn Statement, at 108-10.

<sup>31</sup> See, e.g., Dec. 15, 1998 Credit Review; Dec. 10, 1999 Corporate Credit Review; Toronto Dominion Speedy Review, June 22, 1999 (the "June 22, 1999 Speedy Review") [TDB-EX 000033-TDB-EX 000042]; Toronto Dominion Corporate Credit Review for Enron, Firefly Trust and ENA, July 22, 1999 (the "July 22, 1999 Enron Annual Review") [TDB-EX(1) 032975-TDB-EX(1) 033004].

and off balance sheet debt), liquidity, credit rating, recent developments, financial and stock market performance, strategy, strengths and risk factors.<sup>32</sup>

### *Revenues*

Toronto Dominion received in the aggregate approximately \$30 million of revenue from Enron during 1997 through 2001, as reflected in the following chart:

| <u>Year</u> | <u>Revenue</u>               |
|-------------|------------------------------|
| 1997        | \$ 2.2 million <sup>33</sup> |
| 1998        | \$ 7.5 million <sup>34</sup> |
| 1999        | \$ 9.0 million <sup>35</sup> |
| 2000        | \$ 8.0 million <sup>36</sup> |
| 2001        | \$ 2.5 million <sup>37</sup> |

The Enron relationship was particularly profitable for Toronto Dominion, providing it with a Risk Adjusted Return on Capital (“RAROC”) of 39% during the period from late 1998 through year-end 2000.<sup>38</sup> This return represented nearly twice the return of 20% that Toronto Dominion targeted for its corporate customers.<sup>39</sup> In contrast,

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<sup>32</sup> See, e.g., Dec. 15, 1998 Credit Review; Dec. 10, 1999 Corporate Credit Review; June 22, 1999 Speedy Review; July 22, 1999 Enron Annual Review.

<sup>33</sup> Relationship RAROC Spreadsheet for Enron, Toronto Dominion, Sept. 25, 1997 [TDB-EX(1) 006807].

<sup>34</sup> Toronto Dominion USA Division Speedy Review, Dec. 17, 1998 (the “Dec. 17, 1998 Speedy Review”), at 1 (Account Profitability) [TDB-EX(1) 015111-TDB-EX(1) 015120].

<sup>35</sup> June 22, 1999 Speedy Review, at 1 (Account Profitability).

<sup>36</sup> Nov. 8, 2000 Hawaii Corporate Credit Review, at 29.

<sup>37</sup> SAP Wire Transfer Request for \$2,556,901.25 paid by ENA to Toronto Dominion, Sept. 19, 2001 [AB000273465-AB000273466].

<sup>38</sup> See June 22, 1999 Speedy Review, at 1 (RAROC of 38.4%); July 22, 1999 Enron Annual Review, at 1 (RAROC of 43%); Dec. 10, 1999 Corporate Credit Review, at 1 (RAROC of 39.53%); Sept. 27, 2000 Rapid Review, at 1 (RAROC of 34.75%); Lavin Sworn Statement, at 75.

<sup>39</sup> Sworn Statement of Lisa A. Reikman, Toronto Dominion, to Robb E. Hellwig, A&B, Sept. 16, 2003 (the “Reikman Sworn Statement”), at 57; Sworn Statement of Ann Scully Malcolm, former Vice-President, Toronto Dominion, to Robb E. Hellwig, A&B, Sept. 30, 2003 (the “Malcolm Sworn Statement”), at 69-70.

in 1997, prior to the period in which Toronto Dominion engaged in Prepay Transactions with Enron, the RAROC for the Enron relationship was just 12%.<sup>40</sup>

In July of 1999, Toronto Dominion acknowledged that Enron was “one of the largest relationships in the Energy Group and is very profitable.”<sup>41</sup> There is evidence that Toronto Dominion felt pressured to accommodate Enron’s requests for transactions. Often, Toronto Dominion participated in deals with the understanding that Enron would reward the bank with future business. Many Toronto Dominion internal documents and communications contain references to such relationship pressure, including, for example:

- “Enron is extremely eager to complete this transaction and has indicated that TD’s performance will earn us the opportunity to lead other profitable deals during 1999.”<sup>42</sup>
- “Enron has specifically asked that we participate in Project Hawaii as a quid pro quo for the UK Pre-paid.”<sup>43</sup>
- “Our participation in this transaction is critical to our ability to win a mandate for a \$400 M prepaid swap.”<sup>44</sup>
- “While these facilities are lower returning, it is necessary for us to be a part of Enron’s core facilities in order to see the more profitable opportunities.”<sup>45</sup>

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<sup>40</sup> Toronto Dominion USA Division Credit Review, Oct. 7, 1997, at 1 (indicating a RAROC for the Enron Relationship of 11.72%) [TDB-EX(1) 020099-TDB-EX(1) 020108]. The dramatic increase in the profitability of the Enron relationship during the period 1998-2000 appears to have been driven by the Toronto Dominion Prepays. As noted by one former Toronto Dominion relationship manager, “[t]hese Swaps are highly profitable for us and well received by [Enron].” Nov. 8, 2000 Hawaii Corporate Credit Review, at 29 (Relationship Comments from Katherine Lucey).

<sup>41</sup> July 22, 1999 Enron Annual Review, at 26 (Relationship Strategy). This sentiment was echoed in numerous subsequent credit approval memoranda. *See, e.g.*, Dec. 10, 1999 Corporate Credit Review, at 23 (“Enron is an extremely important and profitable relationship for the bank . . . .”); Sept. 27, 2000 Rapid Review, at TDB-EX(1) 109962 (“Enron is an extremely important and profitable relationship for the bank and we see a tremendous amount of opportunity with this client on the energy and communications side.”).

<sup>42</sup> Dec. 17, 1998 Speedy Review, at TDB-EX(1) 015116.

<sup>43</sup> Nov. 8, 2000 Hawaii Corporate Credit Review, at 29 (Relationship Comments from Katherine Lucey, Toronto Dominion).

<sup>44</sup> *Id.* at 24 (Purpose of Review).

<sup>45</sup> *Id.* at 24 (Relationship Strategy).

### *Exposure Limits*

Throughout most of 1998 and 1999, Enron's outstanding obligations to Toronto Dominion and, therefore, Toronto Dominion's credit exposure to Enron, exceeded the target amount, or "Exposure Guideline," that Toronto Dominion had set for Enron.<sup>46</sup> Toronto Dominion's general practice was to assign each client a risk rating, called an account rating, based in part on the client's credit rating.<sup>47</sup> For example, when Enron had a credit rating of BBB+ from S&P and Baa2 from Moody's, Enron was considered to have an account rating of "3a" on Toronto Dominion's scale.<sup>48</sup> This account rating, in conjunction with the client's industry risk rating, was used by Toronto Dominion to set its Exposure Guideline for Enron.<sup>49</sup> In December of 1998, Toronto Dominion's Exposure Guideline for Enron was \$508 million.<sup>50</sup> By February of 2001, however, Toronto Dominion had decreased Enron's Exposure Guideline to approximately \$175 million (\$250 million CAD).<sup>51</sup>

Toronto Dominion did not always adhere to these Exposure Guidelines and would occasionally permit clients to exceed the limits, with the excess being referred to as the

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<sup>46</sup> See, e.g., Dec. 17, 1998 Speedy Review, at TDB-EX(1) 015112; June 22, 1999 Speedy Review, at TDB-EX 000034, TDB-EX 000042.

<sup>47</sup> Reikman Sworn Statement, at 12.

<sup>48</sup> Sworn Statement of Robyn Zeller, Head of Credit Management for the United States, Toronto Dominion, to Robb E. Hellwig, A&B, Sept. 9, 2003, at 42; see also, e.g., Dec. 17, 1998 Speedy Review, at TDB-EX(1) 015111-TDB-EX(1) 015112; June 22, 1999 Speedy Review, at TDB-EX 000033-TDB-EX 000034.

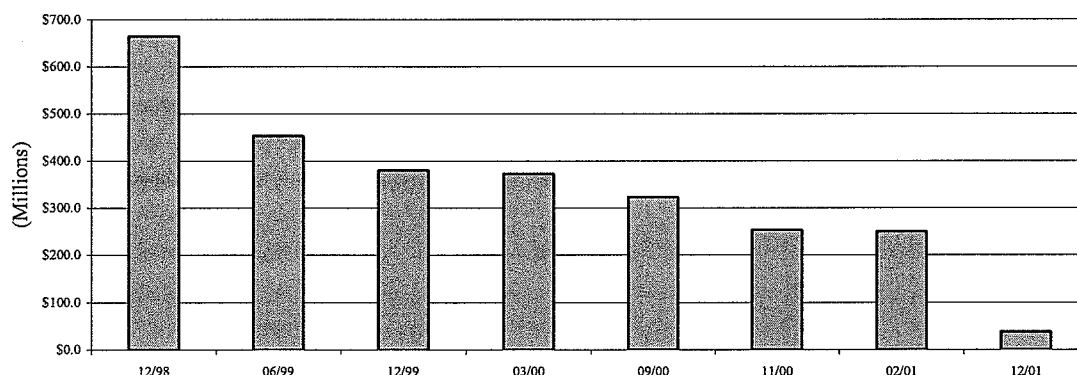
<sup>49</sup> Reikman Sworn Statement, at 115-16; Huebner Sworn Statement, at 12-13.

<sup>50</sup> Dec. 17, 1998 Speedy Credit Review, at TDB-EX(1) 015112.

<sup>51</sup> Spencer Sworn Statement, at 150-51; Huebner Sworn Statement, at 108-10; Document entitled, "Enron Corporation – Relationship Review and Group Exposure Discussion," date unknown (the "Group Exposure Discussion"), at TDB-EX(1) 000045 [TDB-EX(1) 000044-TDB-EX(1) 000048].

amount “Over Guideline.”<sup>52</sup> It appears that Enron was a beneficiary of such a policy for much of 1998 and 1999.<sup>53</sup> Starting in mid-1999, however, Toronto Dominion began enforcing its Exposure Guidelines against Enron, and did not allow Enron to exceed its Exposure Guidelines from that point on.<sup>54</sup>

The following chart indicates Toronto Dominion’s exposure to Enron during the period 1998 through the Petition Date:



As indicated in the chart above, Toronto Dominion significantly decreased its exposure to Enron by the end of 2000. Toronto Dominion accelerated this exposure reduction in 2001. Toronto Dominion documents indicate, however, that as early as 1999 there was concern over Enron exposure within Toronto Dominion.<sup>55</sup> For example, in a

<sup>52</sup> See, e.g., Dec. 17, 1998 Speedy Review, at TDB-EX(1) 015112. Several Toronto Dominion witnesses testified that it was not unusual for large corporate customers to exceed their Exposure Guidelines. See, e.g., Reikman Sworn Statement, at 14-15; Lavin Sworn Statement, at 26.

<sup>53</sup> See June 22, 1999 Speedy Review, at TDB-EX 000042 (“We have in the past expressed the concern [that] this relationship has frequently run well in excess of guidelines.”)

<sup>54</sup> Toronto Dominion witnesses testified that this exposure reduction was at least partly attributable to a general policy shift within Toronto Dominion to reduce its single name exposures. See, e.g., Reikman Sworn Statement, at 42-43; Spencer Sworn Statement, at 12-13.

<sup>55</sup> See, e.g., Dec. 17, 1998 Speedy Review, at TDB-EX(1) 015117; June 22, 1999 Speedy Review, TDB-EX 000042.

June 1999 credit approval request for the Truman Prepay Transaction, one Toronto Dominion executive noted:

We have in the past expressed the concern [that] this relationship has frequently run well in excess of guidelines. In my view, we should not exceed guidelines, and I would only support [the requested participation] on basis of purchase of \$100M Enron Corp credit default protection for term.”<sup>56</sup>

Toronto Dominion’s concern with exposure to Enron increased throughout 1999 and 2000, as did Toronto Dominion’s use of credit default protection to limit that exposure. Beginning in 1999, Toronto Dominion purchased credit protection on a large portion of any new Enron exposure.<sup>57</sup> By the fall of 2000, senior Toronto Dominion executives expressly prohibited any additional Enron exposure,<sup>58</sup> and Toronto Dominion’s approval of the Alberta and London Prepay Transactions was conditioned upon obtaining credit default protection in the full amount of the exposure to Enron.<sup>59</sup> Thus, although Toronto Dominion was willing to enter into these transactions to earn the substantial fees that they generated, Toronto Dominion was so uncomfortable with Enron’s financial condition that it was unwilling to take on any exposure to Enron in these transactions. Instead, Toronto Dominion shifted this exposure to third parties through the purchase of credit default protection.

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<sup>56</sup> June 22, 1999 Speedy Review, at TDB-EX 000042.

<sup>57</sup> See, e.g., June 22, 1999 Speedy Review, at TDB-EX 000041-42 (approving Prepay Transaction subject to purchase of \$100 million of credit default protection).

<sup>58</sup> Sworn Statement of Katherine Lucey, former Head of the Advisory Group, Toronto Dominion, to Robb E. Hellwig, A&B, Sept. 10, 2003 (the “Lucey Sworn Statement”), at 54; Reikman Sworn Statement, at 39-40.

<sup>59</sup> Sept. 27, 2000 Rapid Review, at 5 (Uses of Credit and Repayment); Nov. 24, 2000 Corporate Credit Review, at TDB-EX 001517; Email from Jo-Ann Burgess, Toronto Dominion, to Mary Teney, *et al.*, Toronto Dominion, Nov. 10, 2000, at TDB-EX 001324 (“[I]t is our intent going forward to offset all future Enron exposure via the credit derivatives market or other means.”) [TDB-EX 001324-TDB-EX 001326]; Lucey Sworn Statement, at 33, 54.

In January of 2001, senior Toronto Dominion executives met with senior Enron executives, including Fastow, to address Toronto Dominion's concerns about Enron's business and financial strategies and risk management procedures.<sup>60</sup> According to the head of Toronto Dominion's Risk Management Group who attended this meeting, the meeting did nothing to allay his concerns regarding Enron.<sup>61</sup> Immediately following the meeting, this senior Toronto Dominion executive directed that Toronto Dominion reduce its exposure to Enron to approximately \$175 million (CAD \$250 million) by October 31, 2001, the end of Toronto Dominion's fiscal year.<sup>62</sup> This mandate effectively precluded Toronto Dominion from entering into any new transactions with Enron in 2001.

**B. Toronto Dominion's Knowledge of Enron's Financial Condition**

As a result of its substantial involvement with Enron between 1997 and 2001, Toronto Dominion had significant access to financial information about Enron, as well as Enron senior management.

Toronto Dominion prepared detailed analyses of Enron's financial condition for purposes of considering new transactions with Enron, or renewals or extensions of existing transactions. Toronto Dominion also performed annual reviews of Enron's financial condition. These analyses often included detailed descriptions of Enron and its business segments, Enron's financial strategy and liquidity, Enron's risk management infrastructure, Enron's ratings and Enron's debt, including off-balance sheet obligations.<sup>63</sup> In some of these analyses, Toronto Dominion recharacterized as debt

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<sup>60</sup> Spencer Sworn Statement, at 23-24, 139-40.

<sup>61</sup> Spencer Sworn Statement, at 140.

<sup>62</sup> Spencer Sworn Statement, at 150-51; Huebner Sworn Statement, at 108-10; Group Exposure Discussion, at TDB-EX(1) 000045.

<sup>63</sup> See, e.g., Nov. 8, 2000 Hawaii Corporate Credit Review.

certain obligations that Enron did not report as debt, including items such as the Toronto Dominion Prepays, leases and guarantees of unconsolidated subsidiaries.<sup>64</sup>

For example, in a September 27, 2000 credit approval memorandum regarding the Alberta Prepay Transaction, Toronto Dominion reclassified the Toronto Dominion Prepays as debt and recalculated Enron's debt ratios to reflect more accurately Enron's true debt.<sup>65</sup> Toronto Dominion recomputed Enron's Debt/Cap Ratio to be 57.5% as of June 30, 2000,<sup>66</sup> compared to Enron's publicly reported Debt/Cap Ratio of 48.5%.<sup>67</sup> Further, a senior risk management official testified that Toronto Dominion was concerned with Enron's increasing leverage.<sup>68</sup> Documents produced by Toronto Dominion also indicate a concern with Enron's "true leverage."<sup>69</sup>

#### *Toronto Dominion's Concerns About Enron's Financial Condition*

Toronto Dominion's concerns with Enron's financial condition began as early as December of 1998. For example, in a comment to the credit approval memorandum for the December 1998 Prepay – the first Prepay Transaction that Toronto Dominion executed with Enron – the head of Toronto Dominion's Risk Management Group noted, "[t]he number of short term financing requests for the Enron group raises concerns regarding their financial strategy. I will support this request, but we need the longer term

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<sup>64</sup> Nov. 8, 2000 Hawaii Corporate Credit Review, at 20; Sept. 27, 2000 Rapid Review, at TDB-EX(1) 019962 (Enron Corporate Strategy); Huebner Sworn Statement, at 106-07; Lucey Sworn Statement, at 72-73; Bott Sworn Statement, at 78-79.

<sup>65</sup> Sept. 27, 2000 Rapid Review, at TDB-EX(1) 019962.

<sup>66</sup> *Id.*

<sup>67</sup> Nov. 8, 2000 Hawaii Corporate Credit Review, at 12.

<sup>68</sup> Huebner Sworn Statement, at 77, 107-08

<sup>69</sup> Facsimile from R.M. Newman, Toronto Dominion, to Senior Vice President, U.S.A. Division, TD Bank Financial Group, Nov. 17, 2000, at TDB-EX 001425 [TDB-EX 001422-TDB-EX 001426].

strategic review quickly.”<sup>70</sup> Subsequent credit approval memoranda indicated the Risk Management Group’s increasing concerns with Enron’s financial condition, financial strategy and “manipulation” of its balance sheet,<sup>71</sup> prompting the meeting between Toronto Dominion and Enron in early 2001 that centered on Enron’s risk management and financial strategy.<sup>72</sup> Toronto Dominion did not execute any transactions with Enron following this meeting.

Toronto Dominion also recognized that Enron’s business was becoming increasingly reliant upon trading activities.<sup>73</sup> This recognition of the shift in Enron’s business caused Toronto Dominion to increase both Enron’s account risk rating as well as Enron’s industry risk rating, indicating greater credit risk. Enron’s increased dependence upon trading activities was of particular concern to the head of Toronto Dominion’s Risk Management Group, causing him to make the following comments in response to the credit approval request for the final Prepay Transaction between Enron and Toronto Dominion, which closed in December of 2000:

I find such transactions inconsistent with our objectives of ensuring transparency in our relationships with customers/counterparties and it leads me to question why we should have any relationship to what is increasingly becoming a large unregulated derivatives trading house. In my view we should completely hedge our direct Enron exposure and future derivative dealings should be on a M2M collateralized basis.<sup>74</sup>

This concern was a motivating factor in the exposure reduction mandate issued by this executive at the beginning of 2001. As this senior Toronto Dominion executive testified,

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<sup>70</sup> Dec. 17, 1998 Speedy Review, at TDB-EX(1) 015117.

<sup>71</sup> See, e.g., Dec. 10, 1999 Corporate Credit Review, at 20; Sept. 27, 2000 Rapid Review, at TDB-EX(1) 019962 (Enron Corporate Strategy), TDB-EX(1) 019965 (L.A. Reikman’s comments).

<sup>72</sup> Lucey Sworn Statement, at 73-74; Spencer Sworn Statement, at 23-24.

<sup>73</sup> Huebner Sworn Statement, at 97; Spencer Sworn Statement, at 24; Lavin Sworn Statement, at 80-81.

<sup>74</sup> Nov. 24, 2000 Corporate Credit Review, at TDB-EX 001526 (Thomas Spencer’s comments).

he “clearly wanted to send a message to the group that Enron was becoming too complex for [Toronto Dominion] to really understand . . . .”<sup>75</sup>

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<sup>75</sup> Spencer Sworn Statement, at 126.

### III. TORONTO DOMINION'S ROLE IN ENRON'S PREPAY TRANSACTIONS

The Prepay Transactions were a powerful tool that Enron used to manage its reported financial condition and satisfy Rating Agency expectations.<sup>76</sup> Enron's Prepay Transactions with Toronto Dominion, Citigroup and JPMorgan Chase constituted virtually all of the company's reported cash flow from operating activities in 1999 and 32% of its reported operating cash flow in 2000.<sup>77</sup>

Between 1998 and 2001, Toronto Dominion assisted Enron in completing the six Toronto Dominion Prepays, totaling approximately \$2 billion, as identified in the following chart:

**Toronto Dominion Prepays**

| Name      | Closing Date   | Amount                                           | Toronto Dominion Role                                                                                        |
|-----------|----------------|--------------------------------------------------|--------------------------------------------------------------------------------------------------------------|
| Dec. 1998 | Dec. 30, 1998  | \$250 million                                    | Funded \$250 million (JPMorgan Chase was counterparty)                                                       |
| Truman    | June 29, 1999  | \$500 million                                    | Funded \$250 million and acted as swap counterparty for \$250 million Citigroup-funded portion of prepay     |
| Jethro    | Sept. 29, 1999 | \$675 million                                    | Funded \$337.5 million and acted as swap counterparty for \$337.5 million Citigroup-funded portion of prepay |
| Nixon     | Dec. 14, 1999  | \$324 million                                    | Acted as swap counterparty for prepays funded by Citigroup, RBS and Barclays                                 |
| Alberta   | Sept. 27, 2000 | CAD \$147.4 million (approx. \$105 million U.S.) | Funded approx. CAD \$147.4 million (JPMorgan Chase acted as swap counterparty)                               |
| London    | Dec. 2000      | \$165 million                                    | Funded \$165 million (Morgan Stanley acting as swap counterparty)                                            |
|           |                | \$2.0 billion total                              |                                                                                                              |

<sup>76</sup> For a more detailed analysis of Enron's Prepay Transactions, see Second Interim Report, Appendix E (Prepay Transactions) and Third Interim Report, Appendix D (Role of Citigroup and Its Affiliates) and Appendix E (Role of JPMorgan Chase and its Affiliates).

<sup>77</sup> See August 2001 Fastow Report, at 2-12; Enron Form 10-K filed with the SEC for the Year ended Dec. 31, 2000 (the "Enron 10-K for 2000"), Enron Corp. and Subsidiaries Consolidated Statement of Cash Flows; Enron Form 10-K filed with the SEC for the Year ended Dec. 31, 1999 (the "Enron 10-K for 1999"), Enron Corp. and Subsidiaries Consolidated Statement of Cash Flows.

Each of the Toronto Dominion Prepays was structured with the commodity price risk moving through the other parties and back to Enron in a circle, so that it was eliminated. Thus, the Toronto Dominion Prepays were simply debt structured as commodity swaps. Toronto Dominion credit approval memoranda regarding the Prepay Transactions make clear that Toronto Dominion considered the Prepay Transactions to be loans:

- “[T]he swap transaction is effectively a 2 month loan to Enron.”<sup>78</sup>
- “We have been approached by Enron to structure a deal whereby TD provides a loan which is based on a future delivery of natural gas . . . . As a result, we have structured a fully-hedged \$200MM 60-day Prepaid Natural Gas-Linked Term Loan.”<sup>79</sup>
- “At closing, TD will fund a \$200MM loan, which will be structured as a prepayment for the future delivery of specified volumes of natural gas at a market index.”<sup>80</sup>
- “As this transaction effectively involves a fixed rate loan, there will be no interest resets over the term, and there will be only 1 repayment date.”<sup>81</sup>
- “At maturity, [Enron] will repay [the swap] with the financial equivalent of a pre-determined value of crude oil at a specified price. The precise value of crude oil will be determined at the trade date in an amount sufficient to cover 100% of principal and interest.”<sup>82</sup>

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<sup>78</sup> Dec. 17, 1998 Speedy Review, at TDB-EX(1) 015117 (V.J. Huebner Remarks).

<sup>79</sup> See Draft Credit Approval Request, Dec. 1998, at TDB-EX 000558 [TDB-EX 000557-TDB-EX 000560].

<sup>80</sup> Dec. 17, 1998 Speedy Review, at TDB-EX(1) 015115.

<sup>81</sup> Sept. 25, 1999 Corporate Credit Review, at 24 (Energy Derivatives Comments).

<sup>82</sup> Letter from Ann Scully, Toronto Dominion, to Doug McDowell, Enron, June 28, 1999, at TDB-EX 002057 [TDB-EX 002057-TDB-EX 002058].

Similarly, the former and current Toronto Dominion employees who provided testimony to the Examiner uniformly acknowledged that the Toronto Dominion Prepays did not involve any commodity risk<sup>83</sup> and were simply loans to Enron.<sup>84</sup>

Nevertheless, Enron accounted for the Toronto Dominion Prepays as price risk management activities and characterized the proceeds of these financings as cash flows from operating activities rather than from financing activities.<sup>85</sup> This method of accounting significantly understated Enron's true debt obligations, significantly overstated Enron's true cash flow from operating activities, and favorably affected Enron's key financial ratios considered by the Rating Agencies when establishing Enron's credit rating.<sup>86</sup>

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<sup>83</sup> See, e.g., Jones Sworn Statement, Vol. I, at 35; Lavin Sworn Statement, at 34; Lucey Sworn Statement, at 86; Bott Sworn Statement, at 38; Reikman Sworn Statement, at 64, 120.

<sup>84</sup> Lucey Sworn Statement, at 96; Reikman Sworn Statement, at 134-35; Lavin Sworn Statement, at 51.

<sup>85</sup> See Memorandum from Financial Operations Accounting, ENA, to Distribution, regarding Prepaid Hydrocarbon Companies, Oct. 21, 1996 [AB0252 01068-AB0252 01073].

<sup>86</sup> See *The Role of Financial Institutions in Enron's Collapse: Hearing before the Permanent Subcomm. on Investigations, Senate Comm. on Governmental Affairs*, 107th Cong. (July 23-30, 2002) (the "PSI Financial Institutions Hearing"), Vol. I, at 29 (Testimony of John C. Diaz, Managing Director, Power & Energy Group, Moody's Investors Service, and Pamela M. Stumpp, Managing Director, Chief Credit Officer, Corporate Finance Group, Moody's Investors Service) ("If such transactions had been accounted for as a loan, Enron's operating cash flow would have been reduced and its debt would have been greater. The disclosure of these transactions as loans would have exerted downward pressure on Enron's credit rating."), available at [http://frwebgate.access.gpo.gov/cgi-bin/getdoc.cgi?dbname=107\\_senate\\_hearings&docid=f:81313.pdf](http://frwebgate.access.gpo.gov/cgi-bin/getdoc.cgi?dbname=107_senate_hearings&docid=f:81313.pdf); *id.* at 31 (Testimony of Ronald M. Barone, Managing Director, Utilities, Energy & Project Finance Group, Corporate & Government Ratings, S&P); Written Statement of Lynn Turner, Former Chief Accountant of the SEC, to the PSI, July 23, 2002, at ELIB00002247-00006-ELIB00002247-00007 ("When a company improperly reports cash flows generated by or used in financings as cash generated from typical business operations [then] investors, analysts and credit rating agencies will be misled as to the financial health of a company and its ability to meet future commitments on cash.") [ELIB00002247-00001-ELIB00002247-00013]; see also *id.* at ELIB00002247-00010 ("I have read the testimony of the subcommittee's chief investigator and various documents the staff of the subcommittee have provided to me. These documents lead to the conclusion that the Enron prepay transactions described therein should have been accounted for as bank or credit financings, rather than as liabilities from price risk management activities in the financial statements of Enron.").

The Toronto Dominion Prepays alone, without consideration of other Prepay Transactions that Enron completed, had a material effect on Enron's cash flows from operating activities, as reflected in the following table:

**Enron's Operating Cash Flows**

| Period<br><i>(dollar amounts in millions)</i> | Reported Cash Flows From<br>(Used By)<br>Operating Activities | Net Cash Flows From (Used By)<br>Toronto Dominion<br>Prepays | Cash Flows From<br>Operating<br>Activities Without<br>Toronto Dominion<br>Prepays | Percentage<br>Impact |
|-----------------------------------------------|---------------------------------------------------------------|--------------------------------------------------------------|-----------------------------------------------------------------------------------|----------------------|
| Year Ended<br>Dec. 31, 1998                   | \$1,640 <sup>87</sup>                                         | \$250                                                        | \$1,390                                                                           | 15%                  |
| 3 Mos. Ended<br>Mar. 31, 1999                 | (\$660) <sup>88</sup>                                         | (\$250)                                                      | (\$410)                                                                           | (38%)                |
| 6 Mos. Ended<br>June 30, 1999                 | (\$38) <sup>89</sup>                                          | \$250                                                        | (\$288)                                                                           | 658%                 |
| 9 Mos. Ended<br>Sept. 30, 1999                | (\$43) <sup>90</sup>                                          | \$425                                                        | (\$468)                                                                           | 988%                 |
| Year Ended<br>Dec. 31, 1999                   | \$1,228 <sup>91</sup>                                         | \$74                                                         | \$1,154                                                                           | 6%                   |

In addition, had Enron reported its obligations arising out of the Toronto Dominion Prepays as debt, rather than as liabilities from price risk management activities, Enron's reported debt levels would have increased, as shown in the following table:

<sup>87</sup> See Enron Form 10-K filed with the SEC for the Year ended Dec. 31, 1998 (the "Enron 10-K for 1998"), Enron Corp. and Subsidiaries Consolidated Statement of Cash Flows.

<sup>88</sup> See Enron Form 10-Q filed with the SEC for the Quarter ended Mar. 31, 1999, Enron Corp. and Subsidiaries Consolidated Statement of Cash Flows.

<sup>89</sup> See Enron 10-Q filed with the SEC for the Quarter ended June 30, 1999, Enron Corp. and Subsidiaries Consolidated Statement of Cash Flows.

<sup>90</sup> See Enron 10-Q filed with the SEC for the Quarter ended Sept. 30, 1999, Enron Corp. and Subsidiaries Consolidated Statement of Cash Flows.

<sup>91</sup> See Enron 10-K for 1999, Enron Corp. and Subsidiaries Consolidated Statement of Cash Flows.

### Enron's Debt

| As of<br><i>(dollar amounts in millions)</i> | Reported Debt<br>(Does Not Include<br>Prepay<br>Transactions) | Amount<br>Outstanding on<br>Toronto Dominion<br>Prepays | Debt Including<br>Amount<br>Outstanding on<br>Toronto Dominion<br>Prepays | Percentage<br>Increase |
|----------------------------------------------|---------------------------------------------------------------|---------------------------------------------------------|---------------------------------------------------------------------------|------------------------|
| Dec. 31, 1998                                | \$7,357 <sup>92</sup>                                         | \$250                                                   | \$7,607                                                                   | 3%                     |
| Mar. 31, 1999                                | \$9,419 <sup>93</sup>                                         | \$0                                                     | \$9,419                                                                   | 0%                     |
| June 30, 1999                                | \$8,979 <sup>94</sup>                                         | \$500                                                   | \$9,479                                                                   | 6%                     |
| Sept. 30, 1999                               | \$8,592 <sup>95</sup>                                         | \$675                                                   | \$9,267                                                                   | 8%                     |
| Dec. 31, 1999                                | \$8,152 <sup>96</sup>                                         | \$324                                                   | \$8,476                                                                   | 4%                     |
| Dec. 31, 2000                                | \$10,229 <sup>97</sup>                                        | \$270                                                   | \$10,499                                                                  | 3%                     |

Enron provided no meaningful disclosure of the Prepay Transactions in its financial statements,<sup>98</sup> notwithstanding their magnitude and significance, and notwithstanding advice from Andersen that Enron should provide more complete disclosure.<sup>99</sup> As discussed below, Toronto Dominion understood Enron's accounting for the Toronto Dominion Prepays and the inadequacy of the disclosures in Enron's financial

<sup>92</sup> See Enron 10-K for 1998, Enron Corp. and Subsidiaries Consolidated Balance Sheet.

<sup>93</sup> See Enron 10-Q filed with the SEC for the Quarter ended Mar. 31, 1999, Enron Corp. and Subsidiaries Consolidated Balance Sheet.

<sup>94</sup> See Enron 10-Q filed with the SEC for the Quarter ended June 30, 1999, Enron Corp. and Subsidiaries Consolidated Balance Sheet.

<sup>95</sup> See Enron 10-Q filed with the SEC for the Quarter ended Sept. 30, 1999, Enron Corp. and Subsidiaries Consolidated Balance Sheet.

<sup>96</sup> See Enron 10-K for 1999, Enron Corp. and Subsidiaries Consolidated Balance Sheet.

<sup>97</sup> See Enron 10-K for 2000, Enron Corp. and Subsidiaries Consolidated Balance Sheet.

<sup>98</sup> See Second Interim Report, Appendix D (Enron's Disclosure of its SPEs).

<sup>99</sup> See Third Interim Report, Appendix C (Role of Enron's Officers), at 84.

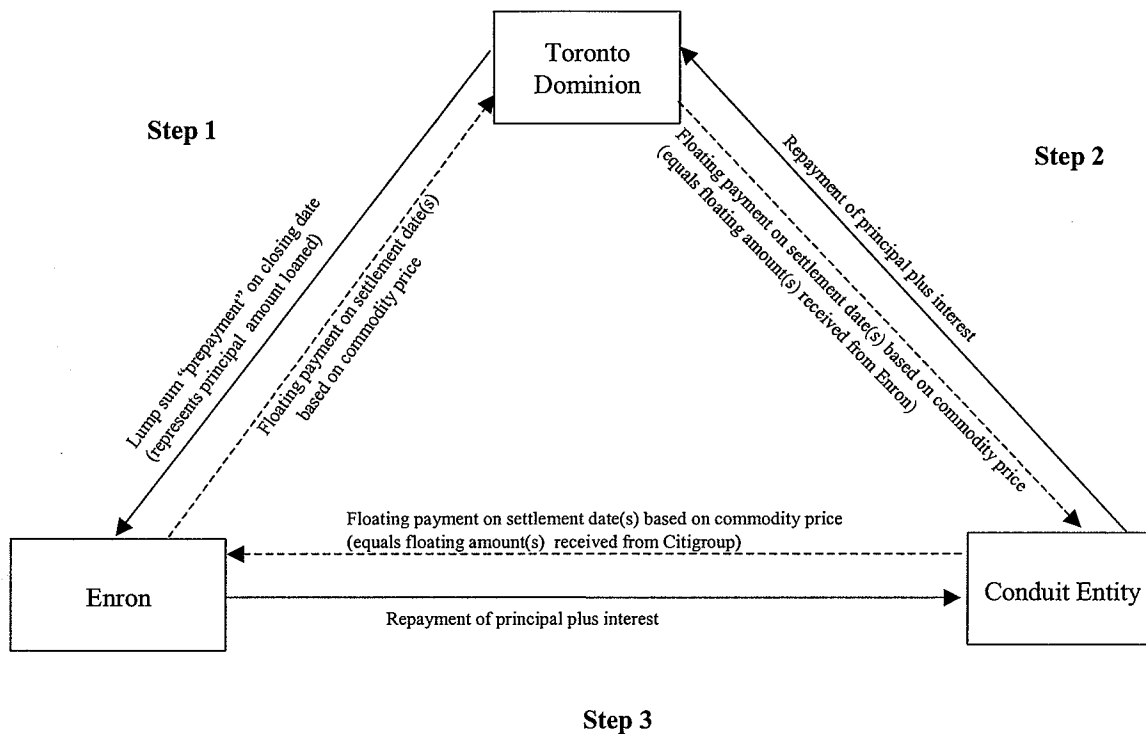
statements. Yet, Toronto Dominion provided substantial assistance to Enron in connection with the Toronto Dominion Prepays, including: (i) lending funds in five of the transactions; and (ii) serving as a conduit in three prepay transactions, two involving Citigroup (Truman and Jethro) and another transaction (Nixon) in which Citigroup, Barclays and RBS were lenders to Enron. Unlike JPMorgan Chase and Citigroup, Toronto Dominion does not appear to have created the structure for any of the Prepay Transactions. Rather, Enron provided Toronto Dominion with the Prepay structure.<sup>100</sup> Nor did Toronto Dominion ever establish an SPE to participate in the Prepay Transactions.

*Summary Description*

All of the Toronto Dominion Prepays were financially settled and followed generally the same structure, which had the effect of eliminating all commodity price risk. Although each of the Toronto Dominion Prepays had different details, with different parties playing the roles of lenders and conduit entities, the following description of a typical Toronto Dominion Prepay shows the basic circular nature of the common transaction structure:

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<sup>100</sup> Lucey Sworn Statement, at 108.



- *Step One: Toronto Dominion/Enron.* Toronto Dominion and Enron entered into a swap agreement pursuant to which Toronto Dominion paid Enron a fixed sum on the closing date, i.e., a "prepayment." This is the amount loaned by Toronto Dominion to Enron using the prepay structure. In exchange, Enron agreed to pay Toronto Dominion the floating price of a specified quantity of a commodity on a specified settlement date.
- *Step Two: Toronto Dominion/Conduit.* Toronto Dominion and a conduit entity entered into a swap agreement, pursuant to which Toronto Dominion agreed to pay the conduit entity the floating price of a specified quantity of a commodity, which matched the payment it would receive from Enron pursuant to the swap described in step one. In exchange, the conduit entity would pay Toronto Dominion a fixed amount equal to the payment of principal plus interest on the prepayment made by Toronto Dominion pursuant to the swap described in step one. This payment made by the conduit entity matched the payments it would receive from Enron pursuant to the swap described in step three.
- *Step Three: Conduit/Enron.* The conduit entity and Enron entered into a swap agreement, pursuant to which the conduit entity agreed to pay Enron on the settlement date an amount equal to the floating payment it would receive from Toronto Dominion. In exchange, Enron agreed to pay to the conduit entity on the settlement date an amount equal to the principal and interest on

the prepayment which, pursuant to the swap described in step two, the conduit entity would transfer to Toronto Dominion.<sup>101</sup>

The net economic effect of the three steps of each Toronto Dominion Prepay was that, at the closing, Enron received a prepayment that was effectively a loan. On the specified settlement dates, the circular floating payment obligations of the parties based on the price of the commodity would eliminate one another, ensuring that no party had any risk with respect to the commodity price. In addition, on the specified settlement dates, Enron would repay the principal it had borrowed plus interest, with such payment passing through the conduit entity to Toronto Dominion. In net economic substance, Toronto Dominion made a loan to Enron that Enron repaid with interest.

Each of the six Toronto Dominion Prepays was a variation of the structure described above, but regardless of the details, each transaction was circular. All commodity price risk was eliminated by having it circle back to Enron. The following is a brief summary of each of these transactions.

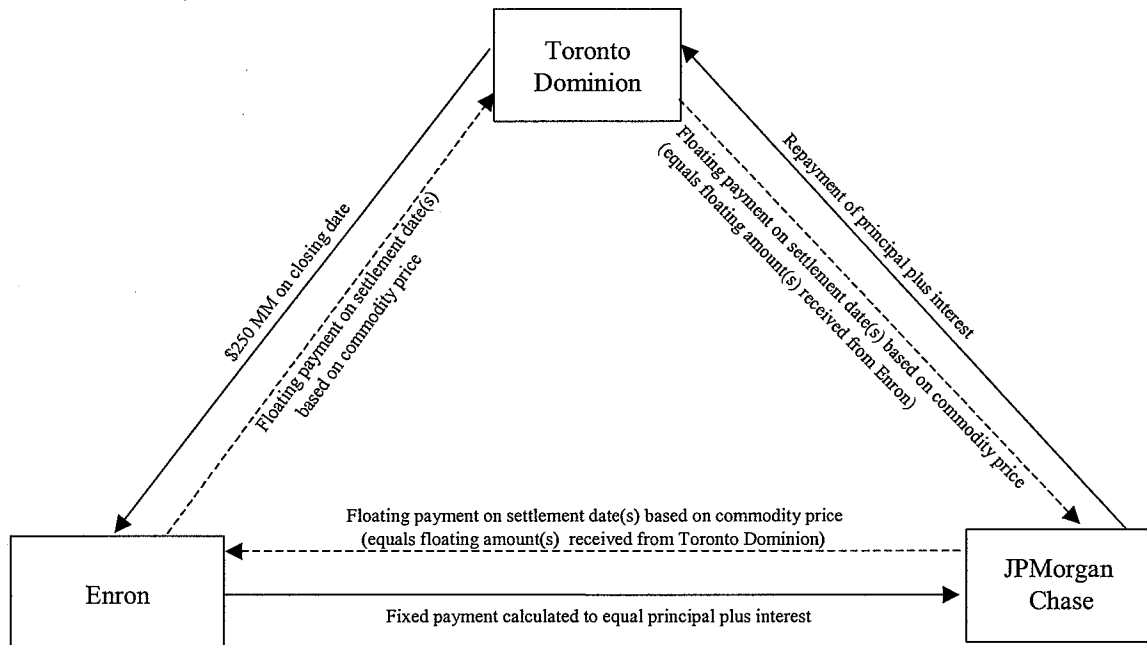
*December 1998 Prepay.* At the end of 1998, Enron requested that Toronto Dominion enter into a Prepay Transaction that would close prior to year-end.<sup>102</sup> This Prepay Transaction was a bridge financing with a term of sixty days. Toronto Dominion originally agreed to fund \$200 million, but agreed to increase the amount to \$250 million

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<sup>101</sup> With respect to several of the early Prepay Transactions with Enron, several Toronto Dominion witnesses testified that they were unsure whether the transaction between the conduit entity and Enron – the third leg of the Prepay transaction – actually took place. *See, e.g.*, Jones Sworn Statement, Vol. I, at 87. However, documents produced by Toronto Dominion indicate that Toronto Dominion had knowledge of this leg of the transaction for all of the Toronto Dominion Prepays except possibly the first Prepay Transaction. *See, e.g.*, Gas Swap Diagram; Crude Prepay Diagram; Dec. 10, 1999 Corporate Credit Review, at 20; Sept. 27, 2000 Rapid Review, at TDB-EX(1) 019961; Nov. 24, 2000 Corporate Credit Review, at TDB-EX 001516-TDB-EX 001517. Even in the first Prepay Transaction, Toronto Dominion had reason to know of the third leg, because Enron provided the swap counterparty.

<sup>102</sup> Dec. 17, 1998 Speedy Review, at TDB-EX(1) 015114 (Purpose of Review).

pursuant to a last-minute request from Enron.<sup>103</sup> This Prepay Transaction, like all of the Toronto Dominion Prepays, was financially settled, meaning that no physical delivery of a commodity was required or contemplated.



In this Prepay Transaction, Toronto Dominion entered into two swap agreements with Enron, pursuant to which Toronto Dominion paid Enron \$250 million in the aggregate on the closing date.<sup>104</sup> Enron agreed to pay Toronto Dominion the price of a notional volume of natural gas sixty days later.<sup>105</sup> Toronto Dominion then shifted the

<sup>103</sup> Email from Robyn Zeller, Toronto Dominion, to Vic Huebner, Toronto Dominion, Dec. 29, 1998, at TDB-EX(1) 033050 [TDB-EX(1) 033049-TDB-EX(1) 033050]. Thus, this Prepay Transaction actually consisted of two related Prepay Transactions, executed on consecutive days. In connection with this request, however, Toronto Dominion purchased \$75 million in credit default protection to offset any additional exposure to Enron. *Id.*

<sup>104</sup> Swap Transaction Confirmation between Toronto Dominion (Texas) and ENA, Dec. 29, 1998 (the "Dec. 29, 1998 Swap Confirmation") [TDB-EX 000908-TDB-EX 000911]; Swap Transaction Confirmation between Toronto Dominion (Texas) and ENA, Dec. 31, 1998 (the "Dec. 31, 1998 Swap Confirmation") [TDB-EX 000987-TDB-EX 000989]; ISDA Master Agreement between Toronto Dominion (Texas) and ENA, Dec. 18, 1998 (the "Toronto Dominion/ENA 1998 ISDA Master Agreement") [TDB-EX 000604-TDB-EX 000631].

<sup>105</sup> Dec. 29, 1998 Swap Confirmation; Dec. 31, 1998 Swap Confirmation.

price risk of the gas to JPMorgan Chase via swap agreements, whereby Toronto Dominion agreed to pay JPMorgan Chase the same gas price on the notional amount on the same settlement date, and JPMorgan Chase agreed to pay Toronto Dominion the fixed sum of approximately \$252.8 million, constituting the \$250 million principal plus interest.<sup>106</sup> Completing the circle, JPMorgan Chase entered into a swap with Enron, in which it agreed to pay Enron the same gas price on the notional amount on the settlement date, and Enron agreed to pay JPMorgan Chase the same fixed sum of approximately \$252.8 million.<sup>107</sup>

Toronto Dominion received an upfront fee of \$875,000 for executing this transaction, which had a RAROC of 35%.<sup>108</sup>

*Truman.* In June 1999, Enron requested that Toronto Dominion fund a \$500 million Prepay Transaction, which would close by month end.<sup>109</sup> After Toronto Dominion informed Enron that it was unwilling to fund more than \$250 million, Enron asked Toronto Dominion to serve as the conduit entity in a simultaneous \$250 million Prepay Transaction to be funded by Citigroup.<sup>110</sup> Thus, the Truman transaction was a

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<sup>106</sup> Swap Transaction Confirmation between JPMorgan Chase and Toronto Dominion, Dec. 30, 1998 [TDB-EX(1) 034217-TDB-EX(1) 034220]; Swap Confirmation between JPMorgan Chase and Toronto Dominion, Dec. 30, 1998 [TDB-EX(1) 034230-TDB-EX(1) 034233].

<sup>107</sup> The Examiner has been unable to locate a copy of this swap confirmation. Further, some of the Toronto Dominion witnesses testified that they were unaware of the existence of this leg of the December 1998 Prepay Transaction. *See, e.g.,* Bott Sworn Statement, at 31. However, this confirmation is presumed to exist given the standard structure of Enron's Prepay Transactions (which would require such a swap). Further, at least one Toronto Dominion employee testified that he later learned of the existence of such a swap. Jones Sworn Statement, Vol. I, at 30-31, 35.

<sup>108</sup> *See* June 22, 1999 Speedy Review, at TDB-EX 000033; Email from David Silverstein, Toronto Dominion, to Vic Huebner, Toronto Dominion, Dec. 23, 1998 [TDB-EX 000821].

<sup>109</sup> Malcolm Sworn Statement, at 29-30.

<sup>110</sup> Malcolm Sworn Statement, at 29-30, 34-35; Email from Ann P. Scully, Toronto Dominion, to Danny Elias, Toronto Dominion, June 28, 1999 ("Given the above [referring to the \$250 million Prepay funded by Toronto Dominion], however, Enron has approached us to stand in the middle of a similar transaction for Citibank.") [TDB-EX 002048]; Letter from Ann Scully, Toronto Dominion, to Doug McDowell, Enron, June 28, 1999 [TDB-EX 002059-TDB-EX 002060]; Gas Swap Diagram.

\$500 million Prepay, in which Toronto Dominion and Citigroup each funded \$250 million.<sup>111</sup> The two financial institutions entered into mirror-image Prepay Transactions that closed on the same day, and each served as the other's conduit entity.<sup>112</sup> The structure of this transaction was succinctly described by the Toronto Dominion employee in charge of executing the swap transaction, as indicated below:

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<sup>111</sup> Gas Swap Diagram; Jones Sworn Statement, Vol. II, at 151-52.

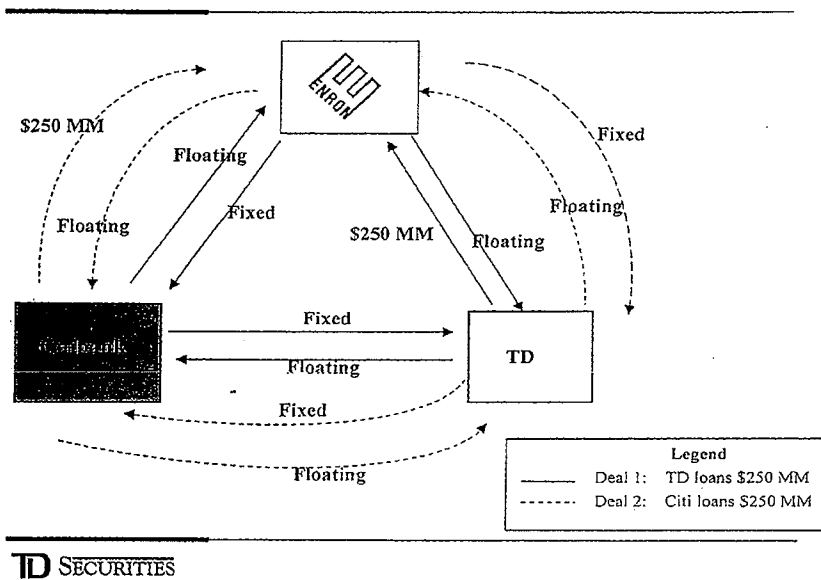
<sup>112</sup> Although those responsible for executing this Prepay Transaction were aware of all of the legs of both the Toronto Dominion-funded and Citigroup-funded Prepay Transactions, several of the senior risk management personnel at Toronto Dominion in charge of approving this transaction did not appear to have a complete understanding of the transaction structure at the time they approved the transactions. Spencer Sworn Statement, at 62; Huebner Sworn Statement, at 47-49. This may have occurred because the complete transaction structure, including the swap between the conduit entity and Enron, was omitted from the credit approval memorandum for this transaction. *See generally* June 22, 1999 Speedy Review. Further, there was no mention of Toronto Dominion's participation in the Citigroup-funded portion of Truman in the credit approval memorandum. The Toronto Dominion Risk Management Group executives who provided testimony to the Examiner indicated that they would have expected full disclosure of all aspects of the transaction during the credit approval process and would have liked to have known this information at the time they reviewed the transaction. Spencer Sworn Statement, at 62, 64; Huebner Sworn Statement, at 48-49, 51-52.



Douglas Jones  
06/24/99 01:45 PM

To: Dan Carr/CIBG/TDBANK@TDBANK  
cc:  
Subject: Diagram for Enron/CitiBank Gas Swap

My drawing skills are a little rough, but it helps understand the transaction a little better.  
Doug



0166000252

TDB-EX 000003  
Enron/CitiBank Swap  
June 29, 1999

Specifically, in the Toronto Dominion-funded Prepay Transaction, Toronto Dominion entered into a swap agreement with Enron, pursuant to which Toronto Dominion paid Enron \$250 million on the closing date.<sup>113</sup> Enron agreed to pay Toronto Dominion the price of a notional volume of crude oil ninety days later.<sup>114</sup> Toronto Dominion then shifted the price risk of the oil to Citigroup via a swap agreement,

<sup>113</sup> Swap Transaction Confirmation between Toronto Dominion (Texas) and ENA, June 29, 1999 (the "June 29, 1999 Swap Confirmation") [TDB-EX 002063-TDB-EX 002066]; Swap Transaction Confirmation between Toronto Dominion (Texas) and ENA, Aug. 6, 1999 [SS000036591-SS000036593]; Toronto Dominion/ENA 1998 ISDA Master Agreement.

<sup>114</sup> June 29, 1999 Swap Confirmation.

whereby Toronto Dominion agreed to pay Citigroup the same floating oil price on the notional volume on the same settlement date, and Citigroup agreed to pay Toronto Dominion the fixed sum of approximately \$254 million, constituting the \$250 million principal plus interest.<sup>115</sup> Completing the circle, Citigroup entered into a swap with Enron, agreeing to pay Enron the same floating price of the oil on the notional volume on the settlement date.<sup>116</sup> Enron agreed to pay Citigroup the same fixed sum of approximately \$254 million.<sup>117</sup>

The Citigroup-funded Prepay worked in the same fashion, except that Citigroup made the initial \$250 million payment to Enron, and Toronto Dominion served as the conduit entity to shift the price risk back to Enron so that it would be eliminated.<sup>118</sup> Enron paid Toronto Dominion a \$1 million upfront fee for funding its \$250 million share,

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<sup>115</sup> Amended Swap Transaction Confirmation between Toronto Dominion and Citigroup, July 6, 1999 (the "July 6, 1999 Amended Swap Confirmation") [CITI-B 00373899-CITI-B 00373901].

<sup>116</sup> Revised Confirmation between ENA and Citigroup, July 30, 1999 [SS000036617-SS000036629].

<sup>117</sup> *Id.*

<sup>118</sup> ISDA Master Agreement between ENA and Citigroup, Nov. 17, 1992 (the "Citigroup/ENA Master Agreement") [SS000037868-SS000037913]; Confirmation between ENA and Citigroup, June 29, 1999 (the "Citigroup/ENA Confirmation") [SS000036643-SS000036655]; Swap Transaction Confirmation between Toronto Dominion and Citigroup. The Examiner was unable to locate a copy of this swap confirmation but the transaction is acknowledged by Toronto Dominion to exist and is indicated in its diagram of the structure of the transaction. *See* Gas Swap Diagram; ISDA Interest Rate and Currency Exchange Agreement between ENA and Toronto Dominion, Mar. 4, 1992 (the "ENA/Toronto Dominion ISDA Interest Rate and Currency Exchange Agreement") [TDB-EX 002245-TDB-EX 002269]; Swap Transaction Confirmation between Toronto Dominion (Texas) and ENA, June 29, 1999 [TDB-EX 002067-TDB-EX 002070]; Revised Swap Transaction Confirmation between Toronto Dominion and ENA, Aug. 6, 1999 (the "Toronto Dominion/ENA Revised Swap Transaction Confirmation") [SS000036594-SS000036596]; Toronto Dominion/ENA 1998 ISDA Master Agreement. The Examiner was unable to locate a copy of the Swap Transaction Confirmation between TD Texas and Toronto Dominion; however, an Enron chart provided to Toronto Dominion shows that this leg of the transaction existed. *See* Crude Prepay Diagram.

as well as a \$100,000 fee for serving as the conduit entity for the other lender.<sup>119</sup> The transaction had a RAROC of 40%, twice Toronto Dominion's targeted return.<sup>120</sup>

*Jethro.* On September 29, 1999, the day that the 90-day Prepay Transactions in Truman were to settle, Toronto Dominion and Citigroup effectively refinanced and increased the Truman obligations by executing two new Prepay Transactions. Although Toronto Dominion and Citigroup generally referred to this follow-on transaction as an extension of Truman,<sup>121</sup> Enron referred to it as Project Jethro.<sup>122</sup> The parties executed a new set of documents as opposed to amending the then-expiring Truman documents.<sup>123</sup>

Jethro mirrored the Truman transaction, with Toronto Dominion and Citigroup again playing their same roles as lenders and conduit entities.<sup>124</sup> Each lender funded

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<sup>119</sup> Upfront Fee Letter from Ann P. Scully, TD Securities (USA) Inc., to Doug McDowell, Enron, June 28, 1999 [TDB-EX 002061-TDB-EX 002062]; Swap Fee Letter from Ann P. Scully, TD Securities (USA) Inc., to Doug McDowell, Enron, June 28, 1999 (the "Scully/McDowell Swap Fee Letter") [TDB-EX 002059-TDB-EX 002060].

<sup>120</sup> June 22, 1999 Speedy Review, at TDB-EX 000033.

<sup>121</sup> Sept. 25, 1999 Corporate Credit Review, at 1; Toronto Dominion Aug. 6, 2003 Responses, at 6; Lavin Sworn Statement, at 45-46; Jones Sworn Statement, Vol. II, at 158; Global Loans Approval Memorandum, regarding Truman, Sept. 19, 1999, at 2 [CITI-B 0035822-CITI-B 0035888].

<sup>122</sup> Memorandum from Bill Brown, Enron, to Doug McDowell, Enron, regarding Annual Review – 1999, Nov. 30, 1999, at 1 [SS000036560-SS000036561].

<sup>123</sup> A Toronto Dominion employee involved in the swap confirmations testified that he believed that the swap confirmations from the Truman Prepay Transaction were amended to increase the amounts. *See* Jones Sworn Statement, Vol. I, at 73. However, the swap confirmations evidencing this Prepay indicate that new documents were executed. *See, e.g.*, Swap Transaction Confirmation between Toronto Dominion (Texas) and ENA, Sept. 29, 1999 (the "Sept. 29, 1999 Swap Confirmation between Toronto Dominion (Texas) and ENA") [SS000036413-SS000036415].

<sup>124</sup> As with the Truman Prepay, the Toronto Dominion credit approval memorandum for this transaction did not reflect the complete structure of this transaction. For instance, the diagram of the transaction contained in the approval memorandum did not show the swap between the conduit entity and Enron. *See* Sept. 25, 1999 Corporate Credit Review, at 24. Nor did the credit approval memorandum indicate that Toronto Dominion also would be participating in a mirror Prepay Transaction funded by Citigroup that was to close simultaneously with the Toronto Dominion-funded Prepay Transaction. *See generally* Sept. 25, 1999 Corporate Credit Review. The Toronto Dominion employee in charge of executing the swaps that comprised the transaction, however, was fully aware of the transaction structure. Jones Sworn Statement, Vol. II, at 163-64; Crude Prepay Diagram. Given that the Jethro Prepay employed the same structure as the Truman Prepay, it is unclear why the complete details were not included in the credit approval memorandum seeking approval for Toronto Dominion to participate in the transaction. Again, the senior risk management executives who approved this transaction testified that they were unaware of these

\$337.5 million to Enron, and the Jethro Prepays were set to expire in sixty days on November 29, 1999.<sup>125</sup> Enron used the proceeds of Jethro, in part, to repay the maturing Truman obligations. Toronto Dominion received upfront fees of approximately \$775,000 for this transaction, which had a RAROC of 38%.<sup>126</sup>

*Nixon.* The Nixon Prepay Transaction closed in December 1999 and was intended to be a 90-day bridge financing that would be repaid with proceeds of the Citigroup Yosemite II transaction scheduled for closing in first quarter 2000.<sup>127</sup> Nixon was actually a set of three interrelated Prepay Transactions that provided Enron with a total of \$324 million.<sup>128</sup> Citigroup, Barclays and RBS financed the transaction, and Toronto Dominion served as the conduit entity for all three lenders.<sup>129</sup>

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components of the Prepay Transaction when it was submitted to them. *See, e.g.,* Spencer Sworn Statement, at 46-47; Huebner Sworn Statement, at 67-68.

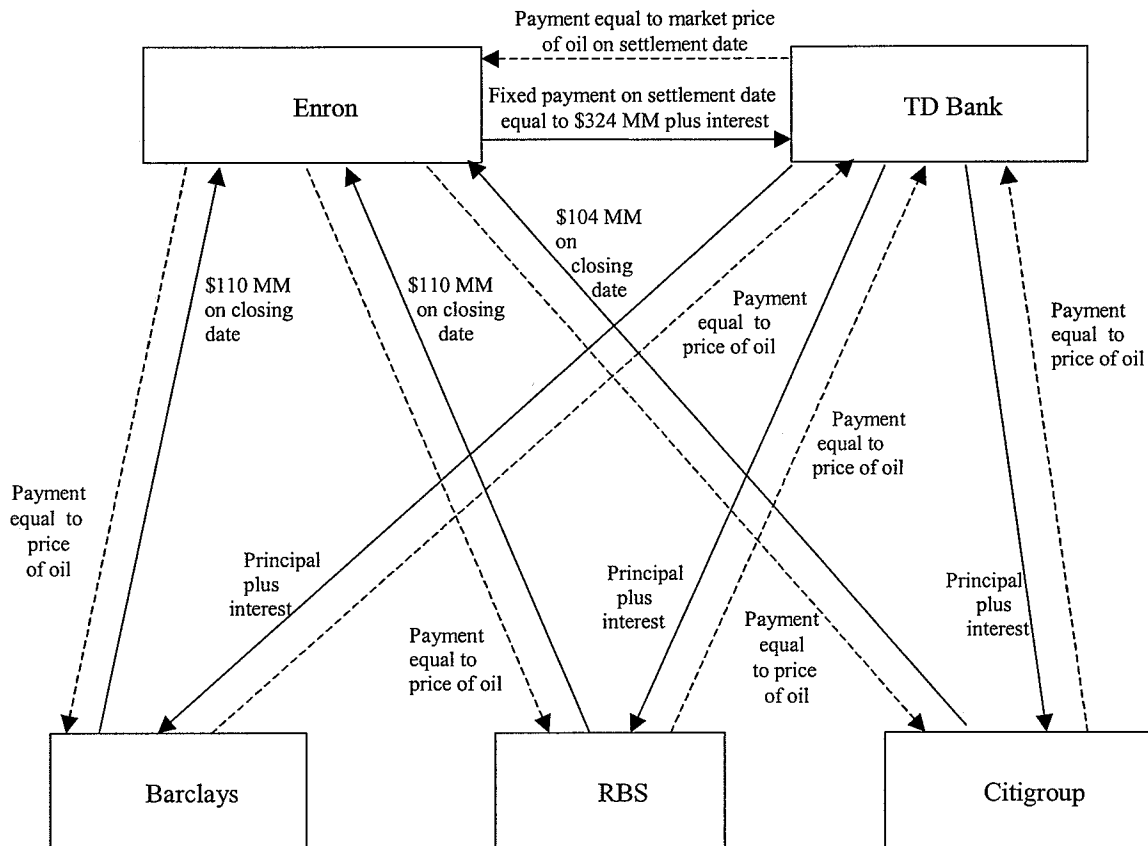
<sup>125</sup> The principal documents for the Toronto Dominion prepay were: (i) Sept. 29, 1999 Swap Confirmation between Toronto Dominion (Texas) and ENA; (ii) Confirmation between Toronto Dominion and Citigroup, Oct. 19, 1999 [TDB-EX(1) 034653-TDB-EX(1) 034657]; (iii) Confirmation between Citigroup and ENA, Oct. 19, 1999 [SS000036416-SS000036420]; (iv) a Revised Swap Confirmation between Toronto Dominion and Citibank, Nov. 19, 1999 [TDB-EX(1) 034305-TDB-EX(1) 034308]; and (v) a confirmation between TD Texas and Toronto Dominion. Although the Examiner was unable to locate a copy of this confirmation between TD Texas and Toronto Dominion, Toronto Dominion does not dispute that this swap existed, and charts of the Jethro Structure show this step of the transaction. *See* Crude Prepay Diagram. The principal documents for the Citigroup prepay were: (i) Confirmation between ENA and Citigroup, Oct. 6, 1999 [SS000036423-SS000036427]; (ii) Confirmation between Toronto Dominion and Citigroup, Oct. 18, 1999 [TDB-EX(1) 034649-TDB-EX(1) 034652]; and (iii) a confirmation between ENA and Toronto Dominion. Although the Examiner was unable to find a copy of this confirmation between ENA and Toronto Dominion, it is acknowledged by Toronto Dominion to exist and the swap is indicated in the diagram of the Jethro Prepay produced by Toronto Dominion. *See* Crude Prepay Diagram.

<sup>126</sup> Sept. 25, 1999 Corporate Credit Review, at 1.

<sup>127</sup> Dec. 10, 1999 Corporate Credit Review, at 20.

<sup>128</sup> *See generally id.*

<sup>129</sup> Toronto Dominion initially sought approval to underwrite a portion of the Nixon Prepay Transaction, as Enron had indicated that Barclays might not participate in the transaction. *Id.* at 19. Enron ultimately selected Barclays to fund the \$110 million portion of the transaction, but selected Toronto Dominion to serve as the conduit entity for all three of the Prepay Transactions that formed Nixon. *Id.*



Citigroup paid Enron \$104 million on the closing date pursuant to a swap agreement.<sup>130</sup> Enron agreed to pay Citigroup an amount based on the price of a notional amount of crude oil on the settlement date.<sup>131</sup> Citigroup then entered into a swap with Toronto Dominion, pursuant to which Citigroup agreed to pay the same price of the notional amount of crude oil to Toronto Dominion in exchange for a fixed payment equal to the \$104 million prepayment amount plus an amount that functioned as interest.<sup>132</sup>

<sup>130</sup> Citigroup/ENA Master Agreement; Swap Transaction Confirmation between Citigroup and ENA, Dec. 14, 1999 (the "12/14/99 Citigroup/ENA Swap Transaction Confirmation") [CITI-B 0134703-CITI-B 0134706]. The initial settlement date of March 15, 2000 was extended to April 14, 2000. Swap Transaction Confirmation between Citigroup and ENA, Mar. 15, 2000 (the "3/15/00 Citigroup/ENA Swap Transaction Confirmation") [SS000037716-SS000037719].

<sup>131</sup> Citigroup/ENA Master Agreement; 12/14/99 Citigroup/ENA Swap Transaction Confirmation; 3/15/00 Citigroup/ENA Swap Transaction Confirmation.

<sup>132</sup> Confirmation between Toronto Dominion and Citigroup, Dec. 22, 1999 (unsigned copy) [TDB-EX(1) 034234-TDB-EX(1) 034237]. The initial settlement date of March 15, 2000 was extended to April 14,

RBS also entered into a swap with Enron, paying Enron \$110 million on the closing date.<sup>133</sup> Enron agreed to pay RBS an amount based on the price of a notional amount of crude oil on the settlement date.<sup>134</sup> RBS then entered into a swap with Toronto Dominion, pursuant to which RBS agreed to pay the same price of the notional amount of crude oil to Toronto Dominion, in exchange for a fixed payment equal to the \$110 million prepayment amount plus an amount that functioned as interest.<sup>135</sup>

The third lender, Barclays, also entered into a swap with Enron, paying Enron \$110 million on the closing date.<sup>136</sup> Enron agreed to pay Barclays an amount based on the price of a notional amount of crude oil on the settlement date.<sup>137</sup> Barclays then entered into a swap with Toronto Dominion, pursuant to which Barclays agreed to pay the same price of the notional amount of crude oil to Toronto Dominion, in exchange for a fixed payment equal to the \$110 million prepayment amount plus an amount that functioned as interest.<sup>138</sup>

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2000. Revised Confirmation between Toronto Dominion and Citigroup, Mar. 15, 2000 [TDB-EX(1) 034313-TDB-EX(1) 034316].

<sup>133</sup> Swap Transaction Confirmation between RBS and ENA, Dec. 14, 1999 (the “12/14/99 RBS/ENA Swap Transaction Confirmation”) [CITI-B 0032451-CITI-B 0032454]. The initial settlement date of March 15, 2000 was extended to April 14, 2000. Swap Transaction Confirmation between RBS and ENA, Mar. 15, 2000 (the “3/15/00 RBS/ENA Swap Transaction Confirmation”) [SS000037780-SS000037783].

<sup>134</sup> 12/14/99 RBS/ENA Swap Transaction Confirmation; 3/15/00 RBS/ENA Swap Transaction Confirmation.

<sup>135</sup> Swap Transaction Confirmation between Toronto Dominion and RBS, Dec. 14, 1999 [TDB-EX 034251-TDB-EX 034257]; Swap Transaction between Toronto Dominion and RBS, Mar. 15, 2000 (extension) [TDB-EX(1) 034258-TDB-EX(1) 034261].

<sup>136</sup> Stand-Alone Swap Agreement between ENA and Barclays, Dec. 14, 1999 (the “12/14/99 ENA/Barclays Stand-Alone Swap Agreement”) [CITI-B 0032445-CITI-B 0032450]; Stand-Alone Swap Agreement between ENA and Barclays, Mar. 14, 2000 (the “3/14/00 ENA/Barclays Stand-Alone Swap Agreement”) (extension of prior swap) [SS000037751-SS000037757].

<sup>137</sup> 12/14/99 ENA/Barclays Stand-Alone Swap Agreement; 3/14/00 ENA/Barclays Stand-Alone Swap Agreement.

<sup>138</sup> Swap Transaction Confirmation between Toronto Dominion and Barclays, Dec. 14, 1999 [TDB-EX(1) 034242-TDB-EX(1) 034246]; Swap Transaction Confirmation between Toronto Dominion and Barclays, Mar. 14, 2000 (extension) [TDB-EX(1) 034247-TDB-EX(1) 034250].

To complete the circle for all three sets of swaps, Toronto Dominion entered into a swap with Enron.<sup>139</sup> Toronto Dominion did not fund any of the interrelated prepay, but served as a conduit: passing the floating price back to Enron, receiving the principal repayments plus interest from Enron, and passing them on to the lenders.<sup>140</sup> Toronto Dominion received an upfront fee of approximately \$825,000 for its participation in this transaction, which had a RAROC of 40%.<sup>141</sup>

*Alberta.* In September of 2000, Enron requested that Toronto Dominion participate in a Prepay Transaction involving Enron Canada Corporation (“Enron Canada”), which would close by month end.<sup>142</sup> Toronto Dominion agreed to participate, and funded approximately CAD \$147.4 million pursuant to the following structure:

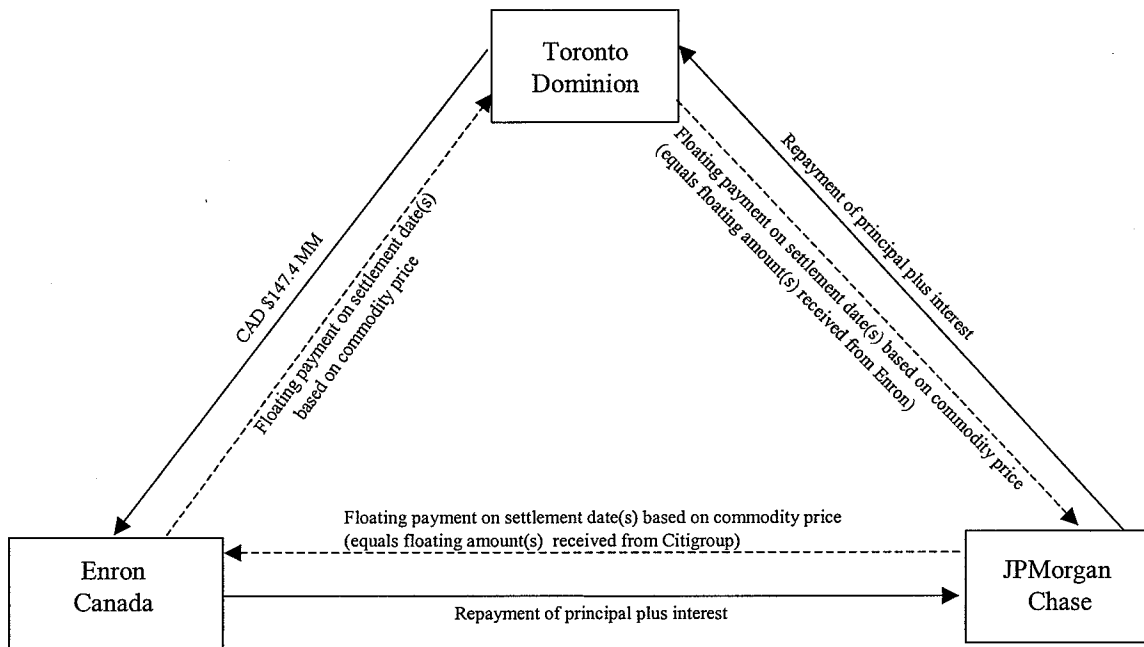
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<sup>139</sup> Swap Transaction Confirmation between ENA and Toronto Dominion, Dec. 20, 1999 [TDB-EX(1) 034266-TDB-EX(1) 034269]; Revised Swap Transaction Confirmation among Toronto Dominion, ENA and Toronto Dominion, Mar. 14, 2000 (extension) [SS000037788-SS000037792].

<sup>140</sup> The documentary and testimonial evidence indicates that Toronto Dominion understood all legs of all three of these interrelated Prepay Transactions. *See, e.g.*, Dec. 10, 1999 Corporate Credit Review, at 20 (diagram indicating circular structure of Nixon Prepay Transaction); Email from Simon Crowe, Enron, to Douglas Jones, Toronto Dominion, *et al.*, Dec. 14, 1999, at TDB-EX 000387 (chart indicating circular structure of Nixon Prepay Transaction) [TDB-EX 000386-TDB-EX 000387]; Jones Sworn Statement, Vol. I, at 108-09.

<sup>141</sup> Dec. 10, 1999 Corporate Credit Review, at 1, 15.

<sup>142</sup> Sept. 27, 2000 Rapid Review.



In this Prepay Transaction, Toronto Dominion entered into a swap agreement with Enron Canada, pursuant to which Toronto Dominion paid Enron Canada CAD \$147.4 million on the closing date.<sup>143</sup> Enron Canada agreed to pay Toronto Dominion the price of a notional volume of gas quarterly (for the first three quarters) with a final payment based on the price of a larger fixed volume of gas.<sup>144</sup> Toronto Dominion then shifted the price risk to JPMorgan Chase via a swap agreement, whereby Toronto Dominion agreed to pay JPMorgan Chase the same floating prices on the same notional amounts on the settlement dates, and JPMorgan Chase agreed to pay Toronto Dominion the fixed sum of approximately CAD \$2.52 million each of the first three quarters, with a final payment of

<sup>143</sup> Swap Transaction Confirmation between Enron Canada Corp. and Toronto Dominion, Sept. 28, 2000 (the "Sept. 28, 2000 Swap Confirmation") [TDB-EX 001177-TDB-EX 001179].

<sup>144</sup> *Id.*

CAD \$149.9 million.<sup>145</sup> The first three quarterly payments equaled the accrued interest on the principal funded by Toronto Dominion, while the final payment equaled the principal plus the remaining accrued interest.<sup>146</sup> Completing the circle,<sup>147</sup> JPMorgan Chase entered into a swap with Enron, in which it agreed to pay Enron the same floating prices on the notional amounts on the settlement dates, and Enron agreed to pay JPMorgan Chase the same fixed quarterly payments in the amount of CAD \$2.52 million plus a final payment in the amount of CAD \$149.9 million.<sup>148</sup>

Toronto Dominion received upfront fees of approximately \$1.1 million for this transaction, which had a RAROC of 35%.<sup>149</sup> Toronto Dominion's Risk Management Group conditioned its approval of this transaction upon Toronto Dominion obtaining credit default protection in the entire amount of the exposure, which Toronto Dominion obtained.<sup>150</sup> Thus, Toronto Dominion effectively shifted the Enron credit risk it assumed in this Prepay Transaction to third parties.

*London.* Toronto Dominion's final Prepay Transaction with Enron closed in December of 2000. Similar to the December 1998 transaction, this transaction was

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<sup>145</sup> Natural Gas Transaction Confirmation between Toronto Dominion and JPMorgan Chase, Sept. 29, 2000 (the "Sept. 29, 2000 Natural Gas Confirmation") [TDB-EX 001180-TDB-EX 001183]; Commodity Swap Transaction Confirmation between JPMorgan Chase and Toronto Dominion, Oct. 5, 2000 [TDB-EX 001188-TDB-EX 001194].

<sup>146</sup> See Sept. 27, 2000 Rapid Review, at TDB-EX(1) 019961.

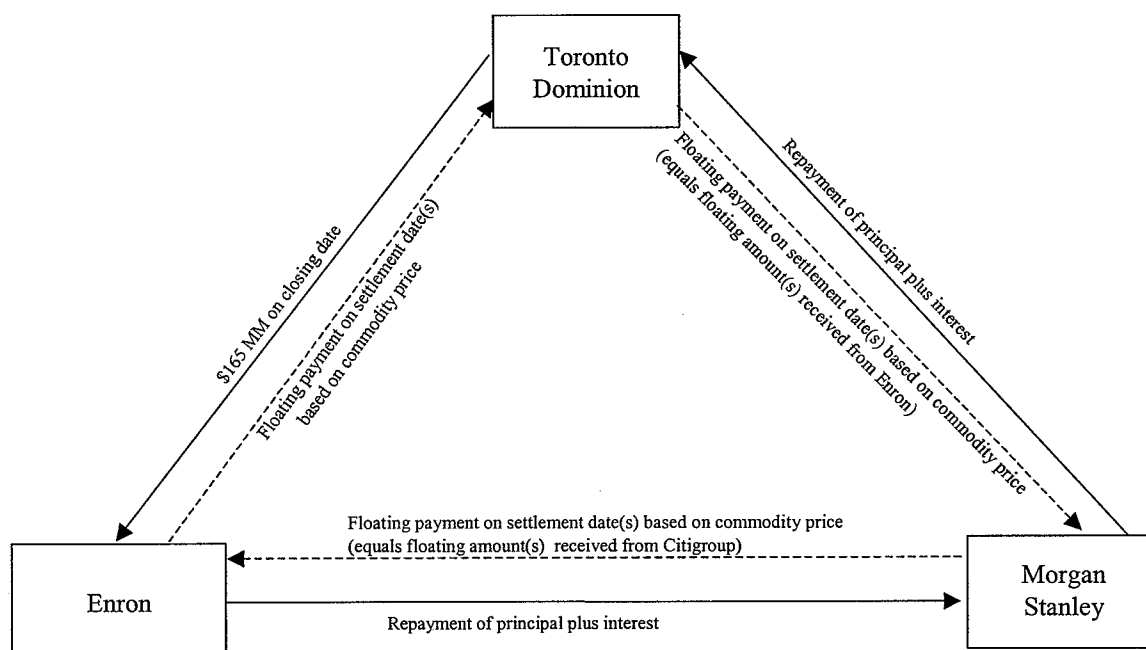
<sup>147</sup> Toronto Dominion understood the circular structure of this prepay, which was set forth in a diagram contained in the Toronto Dominion credit approval memorandum for this transaction. See *id.*

<sup>148</sup> The Examiner was unable to locate a copy of the swap confirmation between JP Morgan Chase and Enron Canada Corp. However, the swap is acknowledged by Toronto Dominion to exist and is indicated in the diagram of the structure of the transaction contained in the Toronto Dominion credit approval memorandum for the Alberta Prepay. See *id.*

<sup>149</sup> *Id.* at TDB-EX(1) 019957, TDB-EX(1) 019962.

<sup>150</sup> *Id.* at TDB-EX(1) 019957, TDB-EX(1) 019964-TDB-EX(1) 019965; Lucey Sworn Statement, at 77.

accomplished via two related Prepay Transactions, with Toronto Dominion funding \$135 million in one transaction and \$30 million in another.



In this Prepay Transaction, Toronto Dominion entered into two swap agreements with Enron, pursuant to which Toronto Dominion paid Enron an aggregate of \$165 million (\$135 million on December 15, 2000 and \$30 million on December 22, 2000) on the closing dates.<sup>151</sup> With respect to the \$135 million transaction, Toronto Dominion paid Enron \$135 million up front, and Enron agreed to pay Toronto Dominion the price of a fixed volume of oil quarterly, with a final payment based upon the price of a larger fixed volume of oil.<sup>152</sup> Toronto Dominion then shifted the price risk of the oil to Morgan

<sup>151</sup> Swap Transaction Confirmation between Toronto Dominion (Texas) and ENA, Dec. 15, 2000 (the "Dec. 15, 2000 Swap Confirmation") [TDB-EX 033249-TDB-EX 033256]; Swap Transaction Confirmation between Toronto Dominion (Texas) and ENA, Jan. 18, 2001 (the "Jan. 18, 2001 Swap Confirmation") [AB0911 2846-AB0911 2849]; Swap Transaction Confirmation between Toronto Dominion (Texas) and ENA, Dec. 19, 2000 (the "Dec. 19, 2000 Swap Confirmation") [TDB-EX(1) 033258-TDB-EX(1) 003265]; Swap Transaction Confirmation between Toronto Dominion (Texas) and ENA, Jan. 29, 2001 (the "Jan. 29, 2001 Swap Confirmation") [AB0911 2850-AB0911 2853].

<sup>152</sup> Dec. 15, 2000 Swap Confirmation; Jan. 18, 2001 Swap Confirmation.

Stanley via swap agreements, whereby Toronto Dominion agreed to pay Morgan Stanley the same oil prices on the same notional amounts on the same settlement dates, and Morgan Stanley agreed to pay Toronto Dominion three fixed quarterly payments in the amount of \$2.42 million and a final payment of \$137.26 million on December 7, 2001.<sup>153</sup> Completing the circle,<sup>154</sup> Morgan Stanley entered into a swap with Enron, agreeing to pay Enron the same floating prices on the same notional amounts of oil on the settlement date.<sup>155</sup> Enron agreed to pay Morgan Stanley three fixed quarterly payments in the amount of \$2.42 million and a final payment of \$137.26 million on December 7, 2001.<sup>156</sup>

With respect to the \$30 million transaction, Enron agreed to pay Toronto Dominion one interim payment based upon the price of a fixed volume of oil, and a final payment based upon the price of a larger fixed volume of oil on the settlement date.<sup>157</sup> Toronto Dominion then shifted the price risk of the oil to Morgan Stanley via a swap agreement, whereby Toronto Dominion agreed to pay Morgan Stanley the same oil price on the notional amount on the same settlement dates, and Morgan Stanley agreed to pay Toronto Dominion one fixed interim payment in the amount of \$1.053 million and a final payment of \$30.99 million on December 7, 2001.<sup>158</sup> Completing the circle, Morgan

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<sup>153</sup> Swap Confirmation between Morgan Stanley Capital Group, Inc. and Toronto Dominion, Jan 23, 2001 [TDB-EX(1) 034330-TDB-EX(1) 034332].

<sup>154</sup> Toronto Dominion understood the circular nature of this Prepay Transaction, as indicated in the diagram of the transaction contained in the Toronto Dominion credit approval memorandum for the transaction. *See* Nov. 24, 2000 Corporate Credit Review, at TDB-EX 001516-TDB-EX 001517.

<sup>155</sup> Swap confirmation between ENA and Morgan Stanley, Jan. 22, 2001, deal no. QH0092.1 (the "ENA/Morgan Stanley \$135 million Swap") [AB0648 03718-AB0648 03722].

<sup>156</sup> *Id.*

<sup>157</sup> Dec. 19, 2000 Swap Confirmation; Jan. 29, 2001 Swap Confirmation.

<sup>158</sup> Swap Transaction Confirmation between Morgan Stanley Capital Group, Inc. and Toronto Dominion, Dec. 22, 2000 [TDB-EX 001836-TDB-EX 001838]; Swap Transaction Confirmation between Morgan Stanley Capital Group, Inc. and Toronto Dominion, Dec. 22, 2000 [TDB-EX 001839-TDB-EX 001841].

Stanley entered into a swap with Enron, agreeing to pay Enron the same floating price of oil on the same notional amounts on the settlement dates.<sup>159</sup> Enron agreed to pay Morgan Stanley a fixed interim payment in the amount of \$1.053 million and a final payment of \$30.99 million on December 7, 2001.<sup>160</sup>

Enron paid Toronto Dominion upfront fees totaling just over \$1 million in connection with this transaction. The transaction had a RAROC that Toronto Dominion described as “infinite” because Toronto Dominion had purchased credit protection for the entire amount funded under the Prepay.<sup>161</sup> This Prepay Transaction was the only Toronto Dominion Prepay that remained outstanding as of the Petition Date.<sup>162</sup> However, because Toronto Dominion had purchased credit default protection on Enron for the full amount of this Prepay, Toronto Dominion effectively shifted the risk of Enron’s payment failure to a third party.

#### *Enron’s Accounting and Other Disclosure*

Enron used the Toronto Dominion Prepays for several important financial statement purposes: (i) to obtain cash when it needed financing, but in a manner that would not increase its reported debt; (ii) to increase its cash flows from operating activities, in order to match more closely its non-cash mark-to-market income; and (iii) thereby to maintain favorable credit ratings from the Rating Agencies.<sup>163</sup> Enron did not

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<sup>159</sup> Swap Confirmation between ENA and Morgan Stanley, Jan. 29, 2001, deal no. QJ8903.1 (the “ENA/Morgan Stanley \$30 million Swap”) [AB0648 03714-AB0648 03717].

<sup>160</sup> ENA/Morgan Stanley \$30 million Swap.

<sup>161</sup> Nov. 24, 2000 Corporate Credit Review, at TDB-EX 001509.

<sup>162</sup> As set forth in Section V of this Appendix, Toronto Dominion received a payment from Enron in the amount of \$2.5 million in connection with this Prepay that is subject to being voided as a preference.

<sup>163</sup> See Second Interim Report, Appendix E (Prepay Transactions).

use the Toronto Dominion Prepays to sell commodities or transfer or manage any commodity price risk.<sup>164</sup>

Toronto Dominion understood how Enron accounted for the Toronto Dominion Prepays and the effect that the Toronto Dominion Prepays had on Enron's reported financial condition:

- "These prepaid swaps are classified as and shown on their balance sheet as price risk management liabilities, not as debt . . . . In summary, this structure keeps these liabilities on the balance sheet but does not show them as debt, thereby causing a decrease in [Enron's] leverage."<sup>165</sup>
- "These prepaid swaps do not affect Enron's debt covenants since they are not classified as debt."<sup>166</sup>
- "This transaction is essentially being undertaken instead of Enron conducting a securitization of the future cash flows from a portfolio of trading contracts in the European region. These contracts have a positive M2M of at least \$200mm and this transaction allows Enron to . . . release the cash flow from the contracts without having to create a complex securitization and reveal details of their individual contracts. Enron have discussed the treatment of this transaction with their auditors (Andersen) who are comfortable with the structure."<sup>167</sup>
- "The proceeds of the loan will be used for general corporate purposes and, more specifically, to reduce on balance sheet debt and monetize existing assets."<sup>168</sup>
- "[T]he prepaid does have significant advantages, specifically, favourable balance sheet treatment."<sup>169</sup>

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<sup>164</sup> *See id.*

<sup>165</sup> Dec. 10, 1999 Corporate Credit Review, at 20 (emphasis in original).

<sup>166</sup> Sept. 27, 2000 Rapid Review, at TDB-EX(1) 019962.

<sup>167</sup> Nov. 24, 2000 Corporate Credit Review, at TDB-EX 001515.

<sup>168</sup> June 22, 1999 Speedy Review, at TDB-EX 000037.

<sup>169</sup> Email from Steve Fuller, Toronto Dominion, to Teresa Kirby, Enron, Oct. 26, 2000, at TDB-EX 001255 [TDB-EX 001255-TDB-EX 001256].

The Toronto Dominion employees who provided testimony to the Examiner all testified that they understood Enron did not account for the Toronto Dominion Prepays as debt.<sup>170</sup> Several of these witnesses also testified that they understood that Enron was using the Toronto Dominion Prepays to monetize assets and thereby generate cash.<sup>171</sup> However, all of the Toronto Dominion witnesses denied having any understanding of how Enron accounted for the cash proceeds of the Toronto Dominion Prepays on its statement of cash flows.

Nevertheless, evidence exists from which a fact-finder could infer that Toronto Dominion possessed such knowledge. For example, Toronto Dominion understood that Enron accounted for the Toronto Dominion Prepays as price risk management activities, with the debt from the Prepays being recorded as price risk management liabilities.<sup>172</sup> Toronto Dominion representatives also reviewed Enron's financial statements in detail to analyze Enron's financial condition and to see how Enron accounted for its transactions with Toronto Dominion, in particular the Toronto Dominion Prepays.<sup>173</sup> Toronto Dominion knew that generating cash flow was an important reason for Enron to enter into the Toronto Dominion Prepays.<sup>174</sup> On Enron's statement of cash flows, net assets from price risk management activities appears as a line item under cash flow from operating activities, and nowhere else.<sup>175</sup> Accordingly, a fact-finder could reasonably infer that

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<sup>170</sup> See, e.g., Bott Sworn Statement, at 27; Lavin Sworn Statement, at 53; Reikman Sworn Statement, at 64; Lucey Sworn Statement, at 72.

<sup>171</sup> See, e.g., Lavin Sworn Statement, at 66; Reikman Sworn Statement, at 62.

<sup>172</sup> See Dec. 10, 1999 Corporate Credit Review, at 20.

<sup>173</sup> Lucey Sworn Statement, at 44-45; Bott Sworn Statement, at 77-78.

<sup>174</sup> See, e.g., Lavin Sworn Statement, at 66; Reikman Sworn Statement, at 62; Nov. 24, 2000 Corporate Credit Review, at TDB-EX 001515.

<sup>175</sup> See Enron 10-K for 1999, Enron Corp. and Subsidiaries Consolidated Statement of Cash Flows.

Toronto Dominion, in its review of Enron's financial statements, understood that Enron accounted for the cash proceeds from the Toronto Dominion Prepays as cash flow from operating activities.

Toronto Dominion also recognized the importance of the Toronto Dominion Prepays to Enron. Toronto Dominion knew that Enron used the Toronto Dominion Prepays to manage and manipulate its financial statement presentation:

- "Enron has approached us again to help them manage their balance sheet for the rating agencies and the analysts. The Company has come to TD as we have demonstrated the ability to deliver, on a short time frame, the same prepaid structured transaction."<sup>176</sup>
- Another credit approval memorandum notes a concern on the part of Toronto Dominion Risk Management regarding Enron's use of the prepay transactions: "To address head office's concern regarding balance sheet manipulation, we have discussed the use of this structure with Enron."<sup>177</sup> The document went on to note: "Risk management's concern regarding the Company's management of its balance sheet has been discussed with the Company, and it has advised that its auditors have reviewed this structure."<sup>178</sup>
- "[W]e've been warned about the balance-sheet games at least twice in the last few months . . . ."<sup>179</sup>

One Toronto Dominion executive was particularly blunt regarding Enron's use of the Toronto Dominion Prepays, noting "[y]es, they did an off balance sheet deal with us to help their year end reporting. Sort of just the kind of thing we do at quarter and year

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<sup>176</sup> June 22, 1999 Speedy Review, at TDB-EX 000040.

<sup>177</sup> Dec. 10, 1999 Corporate Credit Review, at 20.

<sup>178</sup> *Id.* at 24 (Team Leader and USA Relationship Mgr Comments – Signed by Robyn Zeller).

<sup>179</sup> Email from Cori Novellino, Toronto Dominion, to Robyn Zeller, Toronto Dominion, Nov. 7, 2000 [TDB-EX 001266].

ends.”<sup>180</sup> As shown in the timeline above, all of the Toronto Dominion Prepays closed near the end of a quarterly or annual financial reporting period.

Toronto Dominion also knew that Rating Agency pressure was an important part of Enron’s motivation in doing the Toronto Dominion Prepays.<sup>181</sup> The credit approval request for the December 1998 Prepay noted that: “Based on conversations with Enron, the sole purpose of this facility is to satisfy promises made to the rating agencies early this year about reducing leverage.”<sup>182</sup> In his comments to the credit approval request, the Toronto Dominion relationship manager for Enron noted that “[t]his is a short term transaction that provides Enron \$200MM for 60 days. It is structured as a prepaid gas derivative which will facilitate them meeting their commitments to the rating agencies relative to leverage.”<sup>183</sup> Similar statements appeared in the credit approval requests for subsequent Toronto Dominion Prepays.<sup>184</sup> Numerous Toronto Dominion witnesses testified that they understood that Rating Agency and analyst pressures were an important part of Enron’s motivation in entering into the Toronto Dominion Prepays.<sup>185</sup>

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<sup>180</sup> Email from Michael Mueller, Toronto Dominion, to Bob Gibson, *et al.*, Toronto Dominion, Feb. 6, 2001, at TDB-EX 002430 [TDB-EX 002430-TDB-EX 002431].

<sup>181</sup> *See, e.g.*, Bott Sworn Statement, at 27; Lavin Sworn Statement, at 47; Dec. 17, 1998 Speedy Review, at TDB-EX(1) 015115.

<sup>182</sup> Dec. 17, 1998 Speedy Review, at TDB-EX(1) 015115 (emphasis in original).

<sup>183</sup> *Id.* at TDB-EX(1) 015116.

<sup>184</sup> *See, e.g.*, June 22, 1999 Speedy Review, at TDB-EX 000037 (“The Company has requested the facility as they need to satisfy certain commitments made to the rating agencies and the analysts earlier this year with regard to leverage for the quarter ending June 30, 1999 . . . .”); Sept. 25, 1999 Corporate Credit Review, at 23 (“The Company has requested the facility as they need to satisfy certain commitments made to the rating agencies and the analysts earlier this year with regard to leverage for the quarter ending September 30, 1999 . . . .”).

<sup>185</sup> *See, e.g.*, Lavin Sworn Statement, at 47; Bott Sworn Statement, at 27.

Toronto Dominion recognized that the Toronto Dominion Prepays had no net commodity price risk to any party<sup>186</sup> and were in substance loans to Enron.<sup>187</sup> Toronto Dominion, in some of its own analyses of Enron's financial condition, added back the amounts of the Toronto Dominion Prepays in calculating Enron's true debt and related financial ratios, including leverage.<sup>188</sup>

As noted in the Prior Reports, Enron's disclosure of its Prepay Transactions, to the extent any was provided, was merely a general description of Enron's accounting for price risk management and its various price risk management activities. In footnotes 1 and 3 to Enron's consolidated financial statements, Enron stated that its price risk management activities included "forwards, swaps and other financial instruments with third parties [that] are reflected at market value, net of future physical delivery related costs," but it never described any of the Prepay Transactions specifically or disclosed the amount or nature of its obligations thereunder.<sup>189</sup> These footnotes did not provide an investor with adequate information regarding the significant amount of cash flow from

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<sup>186</sup> See, e.g., Jones Sworn Statement, Vol. I, at 35; Lavin Sworn Statement, at 34; Lucey Sworn Statement, at 86; Bott Sworn Statement, at 38; Reikman Sworn Statement, at 64, 120; see also Dec. 17, 1998 Speedy Review, at TDB-EX(1) 015116 (stating "[t]his facility is structured to eliminate all commodity price and interest rate risk.").

<sup>187</sup> See, e.g., Lavin Sworn Statement, at 51; Lucey Sworn Statement, at 96; Bott Sworn Statement, at 29; Reikman Sworn Statement, at 134-35; Malcolm Sworn Statement, at 63; Jones Sworn Statement, Vol. I, at 36.

<sup>188</sup> Sept. 27, 2000 Rapid Review, at TDB-EX(1) 019962; Lucey Sworn Statement, at 72-73; Bott Sworn Statement, at 78-79; Huebner Sworn Statement, at 106-07.

<sup>189</sup> Enron 10-K for 1998, Notes to the Consolidated Financial Statements, Notes 1 and 3; see also Second Interim Report, Appendix D (Enron's Disclosure of Its SPEs), at 15-17.

operating activities that Enron received from any of its Prepay Transactions or the amount Enron had to repay on these transactions.<sup>190</sup>

Enron also failed to disclose the impact of its Prepay Transactions in its MD&A disclosure. In the section of its MD&A captioned "Results of Operations" for the wholesale services segment, Enron provided generic descriptions of its price risk management activities that paralleled the descriptions found in the notes to the consolidated financial statements.<sup>191</sup> Again, however, Enron provided no separate

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<sup>190</sup> In Note 1 to Enron's consolidated financial statements, captioned "Summary of Significant Accounting Policies," Enron stated:

Financial instruments utilized in connection with trading activities are accounted for using the mark-to-market method. Under the mark-to-market method of accounting, forwards, swaps, options and other financial instruments with third parties are reflected at market value, net of future physical delivery related costs, and are shown as "Assets and Liabilities From Price Risk Management Activities" in the Consolidated Balance Sheet . . . .

. . . .

The cash flow impact of financial instruments is reflected as cash flows from operating activities in the Consolidated Statement of Cash Flows.

Enron 10-K for 1998, Notes to the Consolidated Financial Statements, Note 1. In Note 3, captioned "Price Risk Management and Financial Instruments," Enron disclosed that, through its wholesale services segment, it offered price risk management services through "a variety of financial and other instruments including forward contracts involving physical delivery of an energy commodity, swap agreements, which require payments to (or receipt of payments from) counterparties based on the differential between a fixed and variable price for the commodity, options and other contractual arrangements." Enron 10-K for 1998, Notes to the Consolidated Financial Statements, Note 3; *see also* Second Interim Report, Appendix D (Enron's Disclosure of Its SPEs), at 17-19.

<sup>191</sup> In the MD&A section of its 2000 Form 10-K, Enron described the following factors that contributed to cash flows from operating activities in 2000, 1999 and 1998:

Net cash provided by operating activities increased \$3,551 million in 2000, primarily reflecting decreases in working capital, positive operating results and a receipt of cash associated with the assumption of a contractual obligation. Net cash provided by operating activities decreased \$412 million in 1999, primarily reflecting increases in working capital and net assets from price risk management activities, partially offset by increased earnings and higher proceeds from sales of merchant assets and investments. The 1998 amount reflects positive operating cash flow from Enron's major business segments, proceeds from sales of interests in energy-related merchant assets and cash from timing and other changes related to Enron's commodity portfolio, partially offset by new investments in merchant assets and investments.

Enron 10-K for 2000, Item 7 (MD&A) - Financial Condition - Cash flows; *see also* Second Interim Report, Appendix D (Enron's Disclosure of Its SPEs), at 17-19.

disclosure on the Prepay Transactions themselves, failing to make clear to investors the significant amount of reported cash flow from operating activities that was in fact generated by these financings or Enron's related repayment obligations.<sup>192</sup>

Evidence indicates Toronto Dominion knew that Enron did not provide meaningful disclosure regarding the Toronto Dominion Prepay Transactions. Two of Toronto Dominion's former employees, both of whom had served as Toronto Dominion's relationship managers for Enron, testified that they had examined Enron's financial statements to see how Enron had disclosed the Toronto Dominion Prepays.<sup>193</sup> Their reviews indicated that Enron had not made any disclosures regarding the Toronto Dominion Prepays.<sup>194</sup> Rather, the price risk management liabilities were simply indicated in the financial statements as "one number" without any separate disclosure.<sup>195</sup>

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<sup>192</sup> In contrast to Enron's lack of disclosure, a number of companies that engaged in prepay transactions, some of which accounted for the transactions in a manner similar to Enron, provided some type of footnote and/or MD&A disclosure. As discussed in Appendix C (Role of Enron's Officers) to the Third Interim Report, Andersen had recommended that Enron model its disclosure of the Prepay Transactions on those of Aquila Energy Corporation ("Aquila"). Aquila discussed its prepay transactions in the MD&A of a registration statement filed with the SEC in 2000, as well as in the notes to the financial statements contained in that filing. Aquila wrote in its MD&A: "As part of our Wholesale Services segment, we periodically enter into long-term prepaid commodity contracts with our clients. Under these agreements, our clients pay us upfront for a specified commodity in exchange for a discounted, fixed-price for that commodity. To date, we have executed approximately \$1 billion of these contracts, and we have used the proceeds to repay loans from UtiliCorp." Aquila Energy Corporation Form S-1 filed with the SEC on Dec. 13, 2000, at 42. Aquila also disclosed that it experienced "[a] \$536 million increase in long-term price risk management liabilities due to additional commodity prepay transactions in 2000," *id.* at 42, and that its operating cash flow for the nine months ended September 30, 2000, was \$270 million higher than in the comparable period of 1999 due in part to the impact of a gas prepay transaction. *Id.* at 43.

<sup>193</sup> Lucey Sworn Statement, at 44; Bott Sworn Statement, at 77-78.

<sup>194</sup> Lucey Sworn Statement, at 48-49; Bott Sworn Statement, at 78, 80; *see also* Huebner Sworn Statement, at 98.

<sup>195</sup> Lucey Sworn Statement, at 49; Bott Sworn Statement, at 78; *see also* Huebner Sworn Statement, at 98.

One of these former employees further testified that Toronto Dominion knew Enron was entering into Prepay Transactions with other financial institutions and also knew that Toronto Dominion was not “seeing all of the Prepays that [Enron] had.”<sup>196</sup> Toronto Dominion sought to determine from Enron’s financial statements the amount of Enron’s Prepay Transactions with other financial institutions in order to understand better Enron’s true debt,<sup>197</sup> but was unable to do so due to the lack of disclosures Enron made regarding the Prepay Transactions.<sup>198</sup> From its knowledge of the Toronto Dominion Prepays, however, Toronto Dominion knew that Enron’s leverage was significantly greater than it publicly disclosed and this was an important factor in Toronto Dominion’s decision in late 2000 to reduce substantially its exposure to Enron.<sup>199</sup>

From its involvement in the Toronto Dominion Prepays, Toronto Dominion knew that Enron was not recording the Prepays as debt, that these transactions had a material effect on Enron’s financial statements and that Enron failed to disclose information publicly that would have allowed investors to understand the true nature and impact of the Toronto Dominion Prepays. Evidence also exists from which a fact-finder could conclude that Toronto Dominion knew Enron was inflating its reported cash flows from operating activities by including the proceeds from transactions that were effectively debt, which also had a material impact on Enron’s financial statements.

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<sup>196</sup> Lucey Sworn Statement, at 47.

<sup>197</sup> *Id.* at 48-49; Bott Sworn Statement, at 78-79; Huebner Sworn Statement, at 106-07.

<sup>198</sup> Lucey Sworn Statement, at 47-49.

<sup>199</sup> Huebner Sworn Statement, at 108-10.

#### IV. POTENTIAL LIABILITY OF TORONTO DOMINION

##### A. Arguments Supporting the Imposition of Aiding and Abetting Liability and Equitable Subordination

###### *Aiding and Abetting Liability*

*Elements of Aiding and Abetting Liability.* As described in Appendix C (Role of Enron's Officers) to the Third Interim Report, the Debtors' officers breached their fiduciary duties under applicable law by causing the Debtors to enter into certain SPE and related transactions that were designed to manipulate the Debtors' financial statements and that resulted in the dissemination of financial information known to be materially misleading. Toronto Dominion participated in a number of these transactions, including the Toronto Dominion Prepays.

As set forth more fully in Appendix B (Legal Standards) to the Third Interim Report, assuming the Debtors have standing, an affirmative claim against Toronto Dominion for aiding and abetting such breach of fiduciary duties will exist if Toronto Dominion had actual knowledge of the wrongful conduct giving rise to such breach, if Toronto Dominion gave substantial assistance to the primary wrongdoer, and if the injury to the Debtors was the direct or reasonably foreseeable result of Toronto Dominion's conduct. The Examiner has concluded that there is sufficient evidence for a fact-finder to determine that Toronto Dominion aided and abetted the Debtors' officers in breaching their fiduciary duties.

*Analysis of Evidence.* There is evidence indicating that: (i) Toronto Dominion knew Enron's Prepay Transactions would result in Enron's financial statements being materially misleading; and (ii) Toronto Dominion provided substantial assistance to Enron in completing those transactions. Toronto Dominion knew Enron's accounting for

the Toronto Dominion Prepays, with no other meaningful related disclosure, would result in misleading financial presentation. Toronto Dominion understood that the Toronto Dominion Prepays did not effect any transfer of a commodity, and that there was no net commodity price risk, since all price risk was eliminated by virtue of the circularity of the transaction structure.<sup>200</sup> Therefore, a fact-finder could conclude that Toronto Dominion understood that the Toronto Dominion Prepays were effectively loans to Enron, but that Enron recorded the swap agreements as price risk management liabilities and reported the proceeds as cash flows from operating activities. Toronto Dominion also knew that Enron did not make any public disclosure that would allow a reader of its financial statements to understand either the nature or the magnitude of its Prepay Transactions.<sup>201</sup> The Toronto Dominion Prepays allowed Enron to obtain a gross amount of \$2 billion in financing, none of which was reported on Enron's balance sheet as debt, and \$1.5 billion of which was reported by Enron as cash flow from operating activities.

All of the Toronto Dominion Prepays closed at a quarter-end or at year-end. Many of the Toronto Dominion Prepays were short-term bridge financings that spanned the end of a reporting period. For example, the December 1998 Prepay Transaction had a tenor of just sixty days.<sup>202</sup> Similarly, the Nixon Prepay transaction, executed in December of 1999, had a ninety-day term.<sup>203</sup> Toronto Dominion was aware that Enron achieved significant accounting benefits from these transactions, and it was aware of Enron's pattern of closing transactions immediately prior to the end of a reporting period.

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<sup>200</sup> See, e.g., Jones Sworn Statement, Vol. I, at 35; Reikman Sworn Statement, at 64-65, 120; Lavin Sworn Statement, at 34; Lucey Sworn Statement, at 86.

<sup>201</sup> Lucey Sworn Statement, at 47-49; Bott Sworn Statement, at 80.

<sup>202</sup> Dec. 17, 1998 Speedy Review, at TDB-EX(1) 015111 (Purpose of Submission).

<sup>203</sup> Dec. 10, 1999 Corporate Credit Review, at 1 (Purpose).

This caused various individuals at Toronto Dominion to express concern that Enron was using the Prepay Transactions to manipulate or manage its financial statements.<sup>204</sup>

By September of 2000, the head of Toronto Dominion's Risk Management Group had become so concerned with Enron's financial condition and strategy that he refused to allow Toronto Dominion to execute any new transactions with Enron that would result in Toronto Dominion taking on additional exposure to Enron. Nonetheless, Toronto Dominion concluded two additional Prepay Transactions, the Alberta Prepay and the London Prepay, after this mandate was issued. In each transaction, Toronto Dominion purchased credit default protection for the entire amount of its exposure to Enron under the Prepay Transaction,<sup>205</sup> thereby effectively laying the Enron credit risk off on the market. Thus, although Toronto Dominion was unwilling to take on any new Enron exposure due to its concerns over Enron's financial strategy and condition, Toronto Dominion assisted Enron with these Prepay Transactions in order to receive the substantial fees that they generated.

There is evidence that these transactions also violated Toronto Dominion's own internal standards of transparency in its transactions. For example, a Toronto Dominion senior executive noted that the Toronto Dominion Prepays were "inconsistent with [Toronto Dominion's] objective of ensuring transparency in [Toronto Dominion's]

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<sup>204</sup> *Id.* at 20 ("To address head office's concern regarding balance sheet manipulation, we have discussed the use of this structure with Enron."); June 22, 1999 Speedy Review, at TDB-EX 000040 ("Enron has approached us again to help them manage their balance sheet for the rating agencies and the analysts."); Email from Cori Novellino, Toronto Dominion, to Robyn Zeller, Toronto Dominion, Nov. 7, 2000 [TDB-EX 001266] ("[w]e've been warned about the balance-sheet games at least twice in the last few months . . .").

<sup>205</sup> Lucey Sworn Statement, at 76, 81; Sept. 27, 2000 Rapid Review, at TDB-EX(1) 019957 (Purpose); Nov. 24, 2000 Corporate Credit Review, at TDB-EX 001509 (Purpose).

relationships with customers . . . .”<sup>206</sup> Another risk management executive stated that she understood this statement to be directed at the Prepay Transactions, because the true nature of the transactions could not necessarily be ascertained from simply looking at the transaction documents.<sup>207</sup> The Toronto Dominion Prepays, which totaled \$2 billion, had a material effect on Enron’s reported debt and cash flows from operating activities. Yet, Enron’s disclosure was so minimal that not even a sophisticated financial institution like Toronto Dominion could determine the total amount of Enron’s Prepay Transactions.

Under the applicable law of aiding and abetting, courts often include, as part of the element of substantial assistance, that the harm caused must be a reasonably foreseeable result of the actions of the aider and abettor. With respect to the Toronto Dominion Prepays, there is evidence of this element. These transactions were structured to enable Enron to produce materially misleading financial statements, which were disseminated to the public. Enron suffered damages by virtue of the preparation and dissemination of these materially misleading financial statements, including incurring the costs of governmental investigations, the administrative costs of Enron’s bankruptcy proceeding, and losses caused by the “deepening insolvency” of Enron that occurred while its true financial condition was disguised. A fact-finder could conclude that damages such as these were a reasonably foreseeable result of Toronto Dominion’s conduct in connection with the Toronto Dominion Prepays.

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<sup>206</sup> Nov. 24, 2000 Corporate Credit Review, at TDB-EX 001526.

<sup>207</sup> Reikman Sworn Statement, at 128-29.

### *Equitable Subordination*

As set forth more fully in Appendix B (Legal Standards) to the Third Interim Report, Toronto Dominion's claims against the Debtors may be equitably subordinated if Toronto Dominion engaged in inequitable conduct and such conduct resulted in an injury to creditors or an unfair advantage to Toronto Dominion. The evidence discussed above supports a finding that Toronto Dominion engaged in inequitable conduct that allowed Enron to produce materially misleading financial statements. Enron's other creditors were injured because such financial results were publicly reported and disseminated by Enron. Therefore, the Examiner concludes that sufficient evidence exists for a court to equitably subordinate the claims of Toronto Dominion to those of other creditors.

#### **B. Arguments Against the Imposition of Aiding and Abetting Liability and Equitable Subordination**

The Examiner has considered several arguments that Toronto Dominion might assert as defenses to aiding and abetting liability and equitable subordination, including:

- Toronto Dominion may argue that it relied on Enron's obtaining its own independent accounting advice with respect to its financial statements and other disclosures;
- Toronto Dominion may argue that it did not have knowledge of Enron's accounting for significant aspects of the transactions;
- Toronto Dominion may argue that the Toronto Dominion Prepays were not material to Enron's reported financial performance; and
- Toronto Dominion may argue that its conduct in entering into the Toronto Dominion Prepays did not constitute substantial assistance required to support the imposition of aiding and abetting liability.

*Reliance on Independent Accounting Advice.* The Toronto Dominion Prepays were complex, and all required sophisticated accounting analyses and interpretations. Toronto Dominion may argue that its reliance on Enron being financially sophisticated

and receiving accounting advice from one of the most well-respected accounting firms in the world precludes it from having any scienter or intent to aid and abet Enron's financial misrepresentations.

Internal Toronto Dominion documents indicate that, at least in certain circumstances, Toronto Dominion may have relied on Enron's obtaining accounting advice from Andersen. For example, the credit approval memorandum for the London Prepay notes that "Enron have [sic] discussed the treatment of this transaction with their auditors (Andersen) who are comfortable with the structure."<sup>208</sup> An earlier credit approval memorandum contains a similar reference regarding accounting for the Prepay Transactions, "[w]e have also confirmed that Enron's internal and external auditors have continually reviewed and signed off on this structure."<sup>209</sup>

Similarly, a number of the current and former Toronto Dominion employees who provided testimony to the Examiner stated that they relied on Enron's obtaining its accounting advice from Andersen.<sup>210</sup> They knew that Enron had large and savvy financial and accounting staffs, and that Enron was represented by a "big five" accounting firm that was qualified to analyze and assess accounting issues regarding any of Enron's transactions.<sup>211</sup> None of the individuals who testified on behalf of Toronto Dominion recalled having spoken directly with Andersen or any of Enron's internal accountants, however.<sup>212</sup>

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<sup>208</sup> Nov. 24, 2000 Corporate Credit Review, at TDB-EX 001515.

<sup>209</sup> Dec. 10, 1999 Corporate Credit Review, at 20.

<sup>210</sup> See, e.g., Spencer Sworn Statement, at 53; Reikman Sworn Statement at 63, 100.

<sup>211</sup> Reikman Sworn Statement, at 63, 100; Spencer Sworn Statement, at 53.

<sup>212</sup> See, e.g., Lavin Sworn Statement, at 69.

Whether Toronto Dominion's reliance on Enron's obtaining independent accounting advice was reasonable is a question of fact. There is evidence that Toronto Dominion believed Andersen approved Enron's transactions, and there is also evidence from which a fact-finder could conclude that such reliance was not reasonable. Even if Toronto Dominion's reliance on Andersen's approval of the GAAP accounting was reasonable, evidence exists indicating that Toronto Dominion was aware that Enron's disclosure of the Toronto Dominion Prepays was not consistent with the economic substance of the transactions. A fact-finder could infer that Toronto Dominion knew that Enron's disclosure of the Toronto Dominion Prepays resulted in its cash flows from operating activities being materially inflated and its debt being materially understated.

With respect to potential aiding and abetting liability, whether a fact-finder would infer that Toronto Dominion knew that the lack of disclosure related to those transactions would result in dissemination of materially misleading financial information is the fundamental issue, not whether the technical rules of GAAP were satisfied or whether Toronto Dominion relied on Enron's auditors. Accordingly, even if Toronto Dominion could demonstrate that it believed that Enron's accounting for the Prepay Transactions was correct, the Examiner is unable to conclude that Toronto Dominion must be excused as a matter of law from potential aiding and abetting liability. Similarly, the Examiner is unable to conclude that a fact question on these issues would preclude a finding that Toronto Dominion engaged in inequitable conduct in connection with the Toronto Dominion Prepays.

*Lack of Knowledge Regarding Enron's Accounting.* Toronto Dominion may also argue that it lacked knowledge of how Enron accounted on its statement of cash flows for

the proceeds it received from the Toronto Dominion Prepays, and that such a lack of knowledge precludes or mitigates against a finding of aiding and abetting liability or equitable subordination.

All of the Toronto Dominion witnesses who provided testimony to the Examiner denied having any knowledge of how Enron accounted for the cash proceeds that it received from the Toronto Dominion Prepays. Nor has the Examiner uncovered any documentary evidence that conclusively establishes this knowledge on the part of Toronto Dominion. Thus, Toronto Dominion may argue that it was unaware of how Enron's officers used the Prepay Transactions to manipulate Enron's financial statements, at least with respect to its statement of cash flows.

Whether Toronto Dominion had sufficient knowledge of acts giving rise to breaches of fiduciary duty by officers of Enron is a question of fact. Evidence exists indicating that Toronto Dominion knew that the Toronto Dominion Prepays were in substance loans<sup>213</sup> but were not accounted for as debt by Enron on its balance sheet.<sup>214</sup> Evidence also exists that Toronto Dominion had concerns that Enron was using the Toronto Dominion Prepays to manipulate or manage its financial statements.<sup>215</sup> Such evidence, alone, is sufficient to create an issue of fact.

Finally, there is evidence from which a fact-finder could reasonably infer that Toronto Dominion had knowledge that Enron accounted for the cash proceeds it received

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<sup>213</sup> Lavin Sworn Statement, at 51; Lucey Sworn Statement, at 96; Bott Sworn Statement, at 29; Reikman Sworn Statement, at 134-35; Malcolm Sworn Statement, at 63; Jones Sworn Statement, Vol. I, at 36.

<sup>214</sup> Bott Sworn Statement, at 27; Dec. 10, 1999 Corporate Credit Review, at 20; Sept. 27, 2000 Rapid Review, at TDB-EX(1) 019962.

<sup>215</sup> Dec. 10, 1999 Corporate Credit Review, at 20 ("To address head office's concern regarding balance sheet manipulation, we have discussed the use of this structure with Enron."); June 22, 1999 Speedy Review, at TDB-EX 000040 ("Enron has approached us again to help them manage their balance sheet for the rating agencies and the analysts.").

from the Toronto Dominion Prepays as cash flow from operating activities. Toronto Dominion understood that Enron accounted for the Prepay Transactions as price risk management activities, and recorded obligations under the Prepay Transactions as price risk management liabilities.<sup>216</sup> Toronto Dominion also reviewed Enron's financial statements in detail to analyze Enron's financial condition and to see how Enron accounted for its transactions with Toronto Dominion, in particular the Prepay Transactions.<sup>217</sup> On Enron's statement of cash flows, the line item for price risk management activities appears under cash flow from operating activities, and nowhere else.<sup>218</sup> Accordingly, a fact-finder could infer that Toronto Dominion, in its review of Enron's financial statements, understood that Enron accounted for the cash proceeds from the Toronto Dominion Prepays as cash flow from operating activities.

*Lack of Materiality.* Toronto Dominion also may argue that the Toronto Dominion Prepays were not material to Enron's stated financial performance. Accordingly, there would be no claims against Toronto Dominion based upon its participation in these transactions because no damages resulted from Enron's failure properly to disclose or account for these transactions. The impact of the Toronto Dominion Prepays on Enron's reported financial statements was less significant than the impact of the Prepay Transactions entered into between Enron and certain other financial institutions. However, as noted above, the Toronto Dominion Prepays allowed Enron to misstate significantly both its cash flow from operating activities and its debt. Thus,

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<sup>216</sup> See Dec. 10, 1999 Corporate Credit Review, at 20; Lucey Sworn Statement, at 44; Bott Sworn Statement, at 80.

<sup>217</sup> Lucey Sworn Statement, at 44; Bott Sworn Statement, at 77-78.

<sup>218</sup> See Enron 10-K for 1999, Enron Corp. and Subsidiaries Consolidated Statement of Cash Flows.

evidence exists from which a fact-finder could conclude that the Toronto Dominion Prepays had a material impact on Enron's reported financial performance.

*No Substantial Assistance.* Toronto Dominion may argue that its conduct in entering into the Toronto Dominion Prepays did not constitute the substantial assistance necessary to support the imposition of aiding and abetting liability. Unlike certain other financial institutions, Toronto Dominion did not structure the Prepay Transactions, nor did Toronto Dominion create an SPE for use in any of the Prepay Transactions. All of the Toronto Dominion Prepays involved a third party financial institution that Enron brought to the transaction. Nor does it appear that Toronto Dominion, unlike other financial institutions, made or caused to be made any representations to Andersen in furtherance of Enron's desired accounting treatment for the Prepay Transactions. Accordingly, Toronto Dominion may argue that its role in the Toronto Dominion Prepays was limited to that of a mere participant in a transaction that Enron proposed, and that such a role is insufficient to constitute the substantial assistance that is required to support a claim for aiding and abetting.

Whether Toronto Dominion's role in the Prepay Transactions constituted substantial assistance to breaches of fiduciary duty by officers of Enron is a question of fact. Toronto Dominion participated in Prepay Transactions totaling \$2 billion from 1998 through 2000. Toronto Dominion funded approximately \$1.1 billion of this amount in five Prepay Transactions and served as a conduit entity in three other Prepay Transactions that other financial institutions funded. Although the volume of the Toronto Dominion Prepays is certainly less than that of the Prepay Transactions between Citigroup and Enron (\$4.7 billion) or JPMorgan Chase and Enron (\$3.7 billion), Toronto

Dominion's participation in Prepay Transactions totaling approximately \$2.0 billion was nonetheless substantial. These transactions allowed Enron to misstate materially both its debt and cash flow from operating activities on its financial statements during this same period. Accordingly, the Examiner cannot conclude that Toronto Dominion's role in the Toronto Dominion Prepays does not constitute substantial assistance.

**C. Conclusions**

Toronto Dominion helped Enron implement six Prepay Transactions. With respect to these transactions, the evidence reviewed by the Examiner, and the reasonable inferences that may be drawn from that evidence, are sufficient for a fact-finder to conclude that Toronto Dominion aided and abetted certain of the Debtors' officers in breaching their fiduciary duties. There is also sufficient evidence of inequitable conduct by Toronto Dominion in connection with such Prepay Transactions for a court to conclude that Toronto Dominion's claims should be equitably subordinated to the claims of other creditors.

As a result, Toronto Dominion's claims in the Bankruptcy Case totaling approximately \$57.8 million are susceptible of being equitably subordinated to the claims of other creditors. This would be in addition to any affirmative recovery that would be available to the Debtors against Toronto Dominion for aiding and abetting the breach of fiduciary duties by the Debtors' officers, assuming that the Debtors have standing to pursue such a claim.

## **V. POTENTIAL VOIDABLE PREFERENCE LIABILITY OF TORONTO DOMINION**

As noted in the Prior Reports, many of Enron's SPE transactions give rise to voidable preference claims under Section 547 of the Bankruptcy Code. Section 547 permits a debtor to avoid certain prepetition transfers as preferences if there is: (i) a transfer; (ii) of an interest of the debtor in property; (iii) to or for the benefit of a creditor; (iv) for or on account of an antecedent debt owed by the debtor before such transfer was made; (v) made while the debtor was insolvent; (vi) on or within ninety days (or one year for an "insider" transferee) before bankruptcy; (vii) that enables the creditor to receive more than it would receive in a Chapter 7 case if the transfer had not been made.<sup>219</sup> Section 547(c) of the Bankruptcy Code,<sup>220</sup> among other sections,<sup>221</sup> provides certain affirmative defenses to preference liability, depending on the nature and circumstances surrounding the transfer.

The Toronto Dominion Prepay known as the London Prepay gives rise to potential preference liability for Toronto Dominion. Specifically, on September 19, 2001, ENA transferred approximately \$2.5 million to Toronto Dominion.<sup>222</sup> The amount transferred was property of ENA and was transferred to Toronto Dominion, a creditor, on account of an antecedent debt, the Toronto Dominion London Prepay. The transfer was made within 90 days of the Petition Date, when ENA is presumed to be insolvent. Finally, the transfer enabled Toronto Dominion to receive more than if ENA filed a

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<sup>219</sup> 11 U.S.C. § 547(b).

<sup>220</sup> 11 U.S.C. § 547(c).

<sup>221</sup> See, e.g., 11 U.S.C. § 546(g).

<sup>222</sup> See SAP Wire Transfer Request regarding \$2,556,901.25 paid by ENA to Toronto Dominion, Sept. 19, 2001 [AB000273465-AB000273466].

Chapter 7 case, as this was a payment of unsecured debt.<sup>223</sup> Accordingly, all of the elements of a preferential transfer can be established against Toronto Dominion, and ENA has a *prima facie* case for recovery of approximately \$2.5 million from Toronto Dominion.

Toronto Dominion will likely assert two defenses to such a preference claim. First, Toronto Dominion is likely to argue that the payment is not recoverable because it was made under and in connection with a “swap agreement,” and thus is insulated from avoidance under Section 546(g) of the Bankruptcy Code. For the reasons set forth in the Third Interim Report,<sup>224</sup> the Examiner concludes that ENA would likely succeed in arguing that the London Prepay swaps are not swap agreements for bankruptcy purposes, because these are swap agreements in name only and in all other respects functioned as loans, and were intended by all the parties to function as loans. Thus, Section 546(g) of the Bankruptcy Code will not shield these transfers from avoidance.

In addition, for the reasons also set forth in the Third Interim Report,<sup>225</sup> Toronto Dominion likely will not be able to establish that this transfer was in the ordinary course of business. Although the transfer in question appears to have been made in accordance with the terms of the documents governing the London Prepay, the underlying transaction (and the debt it created) was not ordinary or customary, but rather, was a highly unusual

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<sup>223</sup> Toronto Dominion may assert that because it had credit default protection, it would have received this amount (albeit not from ENA) had ENA not made the payment and instead filed a Chapter 7 petition. Such an argument would not likely succeed, as a transferee’s/creditor’s rights against a third party cannot be used by that transferee/creditor to show that it would have received the same recovery in a Chapter 7 case. Instead, for a transferee/creditor to defeat a preference on these grounds, it must show that it had a lien on, or similar rights against, property of the debtor. *See, e.g., CEPA Consulting v. New York Nat’l Bank (In re Wedtech Corp.)*, 187 B.R. 105, 107-08 (S.D.N.Y. 1995). Accordingly, Toronto Dominion’s rights under its credit default protection should have no impact on its preference liability.

<sup>224</sup> *See* Third Interim Report, Annex 4 to Appendix J (Avoidance Actions), at 29-39.

<sup>225</sup> *See id.* at 11-18.

financial arrangement designed to manipulate Enron's reported results of operations, cash flows and financial position. Moreover, as noted above, the transfer was made in the context of Toronto Dominion's active efforts to reduce its exposure to Enron, which may also impair its ability to prove the transfer was ordinary between the parties. For these reasons, Toronto Dominion will likely not succeed in asserting an ordinary course of business defense under Section 547(c)(2) of the Bankruptcy Code.

Accordingly, the Examiner concludes that the approximately \$2.5 million payment described above can likely be avoided as a preference. If, as the Examiner concludes, Toronto Dominion cannot successfully establish any defenses, then this approximately \$2.5 million can be recovered from Toronto Dominion for the benefit of ENA's estate. In addition, pursuant to Section 502(d) of the Bankruptcy Code,<sup>226</sup> if Toronto Dominion does not pay ENA's estate on account of this preference claim, the claims it holds against ENA, which total approximately \$57.8 million as set forth above, should be disallowed.

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<sup>226</sup> 11 U.S.C. § 502(d).